

Before the  
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-12

DOLLAR GENERAL LOGISTICS, LLC

v.

YANG MING MARINE TRANSPORT CORP.

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**COMPLAINANT DOLLAR GENERAL LOGISTICS, LLC'S  
OPENING BRIEF**

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***“[W]e are giving them zippo. We are giving my smaller accounts more.”***  
Yang Ming, June 29, 2021 (C193.3.2.1.)

***“[Y]ou guys have cost me nearly \$8M this contract year already by not fulfilling your run rate”.*** Dollar General, August 25, 2021 (C198.)

***“We plan to cut MQC from accounts which we consider is [sic] difficult to deal . . . to leave some room for others.”*** Yang Ming, December 9, 2021 (C306.)

***“The following supplement is for internal reference only and should not be disclosed to the client.”*** Yang Ming, March 24, 2022 (C300.)

Pursuant to Rule 214 of the Federal Maritime Commission’s (“FMC” or the “Commission”) Rules of Practice and Procedure (the “Rules”), 46 C.F.R. Section 502.214, the Presiding Officer’s August 20, 2026 Order on Motion to Amend Complaint and Joint Motion to Extend Deadlines in this action, Complainant Dollar General Logistics, LLC (“Complainant”, “Dollar General”, or “DG”), by and through its undersigned attorneys, hereby submits its Opening Brief.<sup>1</sup>

## INTRODUCTION

This case is a vivid illustration that “[t]here is no question that during the Covid-19 pandemic, with congestion affecting logistics in many places, carriers had tremendous leverage—at least some . . . took unjust advantage of the situation.” *PKDC, LLC v. CMA CGM S.A.*, FMC Dkt. No. 24-21 (“*PKDC v. CMA*”), slip op. at 23 (ALJ Sept. 8, 2026) (Initial Decision).

Respondent Yang Ming Marine Transport Corp. (“Yang Ming”) took advantage of the pandemic to rake in unprecedented, sky-high profits. Yang Ming achieved these profits by misleading its customers: following the pandemic’s first year, in the early months of 2021 when shipping rates on the short-term spot market had, as the headline of one news article Yang Ming management shared internally at that time stated, “just popped to new all-time high[s]”, Yang Ming opportunistically overcommitted its cargo allocation by signing up more and more customers

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<sup>1</sup> Citations to information in the record are contained in DG’s Appendix (“App.” or “APP-\_\_\_”). Except where otherwise noted, italics, underlining, and/or bold font in language quoted herein is added for emphasis.

for even greater amounts of space—amounts of space Yang Ming did not have despite committing to its customers to providing it. In doing so, Yang Ming hoped to manipulate its increased account base, blame its deliberately restricted supply of space on “congestion”, and, amid ever rising demand, choose at its own unilateral discretion which customers within the surging, chaotic market to allocate cargo space to. Rather than reasonably apportioning its available space amongst its North American fixed-rate contract customers, as the Shipping Act requires, Yang Ming chose to chase profits by effectively selling space to the highest bidder, diverting space away from those regular fixed-rate contract customers (whose rates were fractions of the prices going on the open market), and even away from the United States market as a whole, to more lucrative short-term, open-market contracts and higher-margin trade routes.

Dollar General was one of the fixed-rate customers signed up in early 2021 that Yang Ming systematically misled during contract negotiations. When Yang Ming immediately began failing its service commitments under its service contract with Dollar General (which, unbeknownst to Dollar General, was Yang Ming’s plan all along), Dollar General confronted Yang Ming on its dismal performance, demanding the space owed to it in numerous meetings starting as early as May 2021, including during a high-level meeting on May 24 that included Dollar General’s transportation managers and the bulk of Yang Ming’s Transpacific trade management.

From those meetings—and the high-level May 24 meeting in particular—Yang Ming assessed that Dollar General would be “difficult” to deal with, would not accept Yang Ming’s excuses, and would stand on its legal rights vis-à-vis Yang Ming. Based on that assessment, Yang Ming designated Dollar General as a “top” legal risk and, as an immediate consequence, Yang Ming’s performance *worsened* in retaliation against Dollar General, with one Yang Ming employee describing its space allocations to Dollar General throughout the rest of summer 2021

simply as “*zippo*”. Yang Ming then ignored Dollar General’s pleas for space, including to help with the backlogs of shipments at Dollar General’s warehouses that supplied cargo to origin points in Asia, until Dollar General pragmatically assessed Yang Ming’s track record of non-compliance and deprioritized continued attempts to ship with Yang Ming.

Then, in early 2022, as the shipping year was winding down and the peak season holiday period had already passed, Yang Ming “increase[d] volume as much as possible for *customers with potential legal risks, to avoid customer complaints*”—i.e., a calculated strategy of covering up its systematic retaliation against Dollar General—resulting in a (relative) rush of cargo space allocation to Dollar General designed to obfuscate Yang Ming’s deliberate service failures during the precise time when Dollar General could least use that allocation. But even that misdirection by Yang Ming cannot hide the scale of its service failures to DG: Yang Ming ultimately provided only 27% of the cargo space it had committed to DG under the parties’ 2021 service contract. And while Yang Ming’s conduct towards Dollar General was particularly egregious, Dollar General was not the only one of Yang Ming’s North American fixed-rate customers to receive such unreasonable treatment by Yang Ming.

In short, Yang Ming deliberately created and fostered a vicious cycle, falling short on its service commitments under fixed-rate service contracts, thereby forcing customers to resort to the spot market to obtain cargo space. This increased demand for spot market space pushed prices higher and, in turn, gave Yang Ming even more incentive to violate its service commitments to Dollar General and its other American shipping customers. All the while, Yang Ming took advantage of market conditions, including widespread port delays exacerbated by Yang Ming’s own decisions and strategies, to charge exorbitant fees and further pad its bottom line. The result was an enormous windfall for Yang Ming, at the expense of Dollar General and other importers.

The American public ultimately bore the cost of Yang Ming's profiteering, in the form of increased inflation and severe economic disruption.

As the Commission has consistently found in analogous circumstances, Yang Ming's utter failure to meet its service commitments to Dollar General, and systematic reprisals after Dollar General raised the possibility of legal action and put Yang Ming management on notice of legal risk vis-à-vis Dollar General, among other unreasonable conduct, constitutes at least six violations of the Shipping Act, as set forth below.

## **I. The Parties**

### **A. Dollar General Logistics, LLC (Complainant) ("DG")**

Complainant Dollar General Logistics, LLC, also known as DG Logistics, LLC, is a corporation existing under the laws of Tennessee with its principal place of business located at 100 Mission Ridge Dr., Goodlettsville, Tennessee 37072, telephone 615-855-4000, and reachable via its undersigned counsel's telephone numbers and email addresses listed below. (C6.) (*See generally* C6-8.)

### **B. Yang Ming Marine Transport Corp. (Respondent) ("YM")**

Respondent Yang Ming Marine Transport Corp. is a company existing under the laws of Taiwan with its principal place of business located at No. 271, Ming De 1st Road, Cidu District, Keelung 20646, Taiwan, acting in the United States by and through its agent, Yang Ming (America) Corp., a company existing under the laws of the State of New York with its principal place of business located at One Newark Center, 1085 Raymond Blvd., 9th Floor, Newark, NJ 07102. (C9-9.1.) Respondent Yang Ming Marine Transport Corp. is an "ocean common carrier" as that term is defined by 46 U.S. Code Section 40102(18) with FMC organization number 000138. (C10.) Respondent Yang Ming Marine Transport Corp. and Yang Ming (America) Corp. are referred to herein collectively as "Respondent", "Yang Ming", or "YM". YM's principal department

overseeing its business in the Asia to North America trade lanes is the Commercial Transpacific Department, Eastbound (“*TPEB*”). YM organized its North American Atlantic Coast sales operations into three geographic regions, each responsible for managing service contracts and customer relationships in its respective territory: the North Atlantic region (“*NAT*”), the Mid-Atlantic region (“*MAT*”), and the South Atlantic region (“*SAT*”), where DG is located. (C11-12.) (See generally C9-13, 54-65, 73-95.)

### **C. Expeditors International of Washington, Inc. (Third-Party) (“Expeditors”)**

Expeditors International of Washington, Inc. (“*Expeditors*”) is a Fortune 500 global logistics company headquartered in Bellevue, Washington. (C14.) During the years 2021 and 2022, Expeditors served as an authorized agent of Dollar General and in that capacity sought to procure cargo space allocations from YM and book cargo for carriage by YM pursuant to DG’s service contract with YM. (C18-19.) (See generally C14-39.)

## **II. The Service Contracts**

DG and YM entered into two service contracts relevant to this matter:

**The 2021 Service Contract:** An Ocean Carrier Agreement, with service contract number 456121 and effective as of May 1, 2021, and covering the time period from May 1, 2021 through April 30, 2022 (the “*2021 Service Contract*”, and the term of which, the “*2021 Shipping Year*”). (C40.) The 2021 Service Contract set its MQC and service commitment at 2,226 forty-foot equivalent container units (“FEUs”), corresponding to an average monthly allocation of 185.5 FEUs. (C40.1.)<sup>2</sup> The 2021 Service Contract expressly required Yang Ming to provide weekly space at a level not less than 130% of the weekly prorated portion of that MQC when Complainant provided forecasts four weeks in advance of a scheduled shipping week. (C40.2.)

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<sup>2</sup> 1 FEU equals 2 twenty-foot equivalent container units (“TEUs”).

**The 2022 Service Contract:** An Ocean Carrier Agreement, with service contract number 456122 and an effective date of May 1, 2022, and covering the time period from May 1, 2022 through April 30, 2023 (the “**2022 Service Contract**”, and the term of which, the “**2022 Shipping Year**”, and together with the 2021 Service Contract, the “**Service Contracts**”). (C41.) The 2022 Service Contract set its MQC and service commitment at 1,321 FEUs, corresponding to an average monthly allocation of 110.1 FEUs. (C41.1.)

## **PROPOSED FINDINGS OF FACTS AND CONCLUSIONS OF LAW**

DG’s proposed findings of fact (the “CPFF”), filed concurrently herewith, are incorporated by reference. Citations to the CPFF are denoted by (“C\_\_\_”).

### **LEGAL FRAMEWORK**

#### **I. Count I: Violation of 46 U.S.C. § 41102(c)**

Count I (C3): Section 41102(c) of the Shipping Act provides that: “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). To recover reparations for a violation of Section 41102(c), the complainant must demonstrate:

(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS E. Coast*, FMC Dkt. No. 23-04, 2023 WL 5375588, at \*9 (ALJ Aug. 16, 2023); *see also* 20230930-DK-Butterfly-1, *Inc. v. Orient Overseas Container Line Ltd.*, FMC Dkt. No. 23-02 (“*BBBY v. OOCL*”), 2026 WL 1285696, at \*102 (CALJ Apr. 24, 2026) (Initial Decision).

“*Unreasonable* means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier”. 46 C.F.R. § 542.1. Section 542.1, which the FMC issued after the passage of the Ocean Shipping Reform Act of 2022, Pub. L. 117–146, 136 Stat. 1272 (June 16, 2022) (“OSRA 2022”), identified several well-settled illustrative examples of unreasonable refusals to deal, including refusals linked to “[v]essel capacity limitations not justified by legitimate transportation factors” and, in the negotiation context, “[q]uoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations”. 46 C.F.R. § 542.1. Prior decisions have also found that “failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, [or] deliberately coercing surcharges including [peak season surcharges (“PSS”)] as a precondition to carry previously contracted cargo” state unreasonable practices claims under 46 U.S.C. Section 41102(c). *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2022 WL 458569, at \*4, 6 (ALJ Feb. 4, 2022), *aff’d*, 2024 WL 5714531 (FMC Jan. 3, 2024); *see also BBY v. OOCL*, 2026 WL 1285696, at \*113 (carrier’s “systems did not consistently track attempted bookings”); *id.* at \*125 (carrier “preferred higher-priced freight at the expense of its service commitments, unreasonable coerced overcharges, and unreasonably shifted space to higher-priced cargo . . . Thus, the evidence shows that [the carrier] had unjust or unreasonable practices . . .”).

These examples are consistent with established FMC guidance and relevant jurisprudence. As the FMC’s then-Managing Director, Edward Walsh, emphasized in an April 1999 letter, “*a common carrier’s treatment of shippers must be based on reasonableness, equity and fairness irrespective of whether a carrier’s operation is progressing normally or is experiencing strain*

*due to external conditions such as increased demand for space [or] acts of God . . .*” Letter from Edward P. Walsh, Managing Dir., FMC, to John W. Butler (Apr. 8, 1999) (the “1999 Walsh Letter”), *BBBY v. OOCL*, FMC Dkt. No. 23-02, Doc. No. 99 at 5029; *see also id.* at 5031 (the Shipping Act “*disallows a common carrier from refusing to furnish service to shippers solely on the grounds that to continue to provide the service would be inconvenient or less profitable*”) (quoting *Ethan Allen v. Maine Cent. R.R. Co.*, 431 F. Supp. 740, 743 (D. Vt. 1977)). In times of shortage, the FMC has long established that “a common carrier must equitably prorate its available space among shippers” rather than simply allocating space to the highest bidder. *BBBY v. OOCL*, 2026 WL 1285696, at \*113 (quoting *Banana Distributors v. Grace Line*, 5 F.M.B. 615, 620, 622 (1959)); *see also PKDC v. CMA*, slip op. at 20 (ALJ Sept. 8, 2026) (Initial Decision) (same).

## **II. Count II: Violation of 46 U.S.C. § 41104(a)(2)**

Count II (C3): Section 41104(a)(2) of the Shipping Act provides that: “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . provide service in the liner trade that is . . . (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title . . .” 46 U.S.C. § 41104(a)(2). A common carrier that disregards “service contracts in favor [of] higher-priced freight” or attempts “to coerce extra-contractual surcharges from [a service contract counterparty]” violates Section 41104(a)(2). *MCS Indus., Inc.*, 2022 WL 458569, at \*7; *see also BBBY v. OOCL*, 2026 WL 1285696, at \*136 (Section 41104(a)(2) violated where shipper established carrier’s “systematic[] fail[ures] to meet its service commitments” and attempts “to coerce [shipper] to pay PSS and enter into premium rate/extra loader contracts”).

## **III. Count III: Violation of 46 U.S.C. § 41104(a)(10)**

Count III (C3): “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate, including with respect

to vessel space accommodations provided by an ocean common carrier”. 46 U.S.C. § 41104(a)(10). “To establish a violation of section 41104(a)(10), the complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, FMC Dkt. No. 21-11 (“*OJ Commerce, LLC*”), 6 F.M.C.2d 165, 2023 WL 3969857, at \*22 (CALJ June 7, 2023) (Initial Decision); *see also* *BBBY v. OOCL*, 2026 WL 1285696, at \*139. Though adopted after the conduct at issue in this action, 46 C.F.R. Section 542.1 provides useful examples of conduct that would be unreasonable when linked to a refusal to deal or negotiate: “(1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or (2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations.” 46 C.F.R. § 542.1. Evidence that a carrier knew it was failing to meet contractual commitments to a shipper and in that context “refus[ed] to renew or expand” its relationship with the shipper supports a finding of unreasonableness. *OJ Commerce, LLC*, 2024 WL 4034610, at \*12 (FMC Aug. 27, 2024); *see also id.* at \*9 (carriers must “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.”) (quoting *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, FMC Dkt. No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. App’x 681 (D.C. Cir. 2003)); *BBBY v. OOCL*, 2026 WL 1285696, at \*138-39 (carrier’s “partial shutout” of shipper by refusing to provide space without overcharges constituted a refusal to deal as did carrier’s failure to engage in good faith negotiations for upcoming year service contract); *accord* *PKDC v. CMA*, FMC Dkt. No. 24-21, slip op. at 28 (ALJ Sept. 8, 2026).

#### **IV. Count IV: Violation of 46 U.S.C. § 41104(a)(5)**

Count IV (C3): The version of section 41104(a)(5) in effect during the time period relevant to this action provided that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . for service pursuant to a service contract, engage in any unfair or unjustly discriminatory practice in the matter of rates or charges with respect to any port”. 46 U.S.C. § 41104(a)(5) (effective Dec. 4, 2018 to June 15, 2022). To establish a violation of Section 41104(a)(5), a complainant must show that: (a) the respondent is an ocean common carrier; (b) the respondent provided service pursuant to a service contract; and (c) the respondent engaged in an unfair or unjustly discriminatory practice in the matter of rates or charges with respect to a port. *See* 46 U.S.C. § 41104(a)(5). Section 41104(a)(5)’s port element does not require a comparison between ports: “discrimination must be shown ‘with respect to any port,’ not between different ports.” *MCS Indus., Inc.*, 2022 WL 458569, at \*8. And while “common carriers may offer different rates . . . they may not do so in a manner that is undue or unreasonable.” *Id.*

The statute’s legislative history shows that Section 41104(a)(5) continues to protect ports “from unjust discrimination and undue or unreasonable preference, advantage, prejudice, or disadvantage as a result of common carrier service contracts.” *OJ Commerce, LLC*, 2022 WL 4017209, at \*4 (quoting S. Rep. No. 105-61, at 28 (1997)). The prohibitions apply where the carrier’s conduct is “clearly targeted at the locality” rather than merely at “a particular shipper.” *Id.*; *accord PKDC v. CMA*, 2024 WL 5229720, at \*2-3 (ALJ Dec. 20, 2024), *admin. final* (Jan. 22, 2025).

#### **V. Count V: Violation of 46 U.S.C. § 41104(a)(9)**

Count V (C3): The version of Section 41104(a)(9) in effect during the time period relevant to this action provided that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . for service pursuant to a service contract, give any undue

or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port”. 46 U.S.C. § 41104(a)(9) (effective Dec. 4, 2018 to June 15, 2022). To establish a violation of Section 41104(a)(9), a complainant must show that: (a) the respondent is an ocean common carrier; (b) the respondent provided service pursuant to a service contract; and (c) the respondent gave an undue or unreasonable preference or advantage, or imposed an undue or unreasonable prejudice or disadvantage, with respect to a port. *See* 46 U.S.C. § 41104(a)(9).

As with Section 41104(a)(5), the carrier must direct a prejudice or disadvantage at a port or locality rather than solely at a shipper that happens to be associated with it. *OJ Commerce, LLC*, 2022 WL 4017209, at \*4-6; *PKDC v. CMA*, 2024 WL 5229720 at \*2-3. The paradigmatic example of prohibited conduct is “a clear pattern of service contracting by a common carrier that imposes an unreasonable disadvantage on all shipments from a specific nation or region of a nation, including the United States.” *OJ Commerce, LLC*, 2022 WL 4017209, at \*4 (quoting S. Rep. No. 105-61, at 28 (1997)); *see also MCS Indus., Inc.*, 2022 WL 458569, at \*8 (Section 41104(a)(9) claims encompass undue or unreasonable prejudice allegations as to ports served under the parties’ service contract).

**VI. Count VI: Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d))**

Count VI (C3): The version of 46 U.S.C. Section 41104(a)(3) in effect during the time period relevant to this action, now codified at 46 U.S.C. Section 41102(d), provided that “[a] common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods

because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.”

To establish a violation of the former Section 41104(a)(3), the complainant must prove that

(a) each Respondent is a common carrier, (b) Respondents engaged in prohibited conduct by refusing, or threatening to refuse, cargo space accommodations when available, or resorting to other unfair or unjustly discriminatory methods, (c) Complainant is a shipper, and (d) Complainant engaged in protected activity by patronizing another carrier, or filing a complaint, or for any other reason.

*OJ Commerce, LLC*, 2023 WL 3969857, at \*33 (CALJ June 7, 2023); *see also BBY v. OOCL*, 2026 WL 1285696, at \*142 (retaliation established where carrier “engaged in prohibited conduct (refusing cargo space accommodations or other unfair or unjustly discriminatory methods)” as to a shipper, because the shipper “engaged in protected activity (patronizing other carriers, filing a complaint, or other activities of the same class).”) (citing Statement of the Commission on Retaliation, FMC Dkt. No. 21-15, 3 F.M.C.2d 201, 202, 2021 WL 9204128 (FMC Dec. 28, 2021) (“Retaliation Statement”)).

The FMC interprets the “any other reason” clause of the former Section 41104(a)(3) “**broadly** to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” *OJ Commerce, LLC*, 2024 WL 4034610, at \*17; *see also BBY v. OOCL*, 2026 WL 1285696, at \*147 (retaliation claim established where shipper letter put carrier “on notice” by implicitly threatening formal legal action before the FMC and disputing carrier’s detention and demurrage practices). Notably, while FMC precedent does not “address every possible scenario” in which shipper activity may constitute “protected activity” under the former Section 41104(a)(3), the FMC applies the statute in a manner based on the logical and practical requirements of its intent to protect shippers. *OJ Commerce, LLC*, 2024 WL 4034610, at \*17; *see also BBY v. OOCL*, 2026 WL 1285696, at \*147 (carriers may not cut bookings or target shippers for “deselection” based on a shipper raising concerns about violations of an FMC rule).

For example, in *OJ Commerce*, where a shipper threatened to file an FMC claim against a carrier but had not yet filed a complaint when the carrier retaliated, the FMC reasoned that “if a shipper is protected in filing a complaint” with the FMC “it is reasonable to protect a shipper for stating that it intends to file such a complaint, a more limited but closely related action that would serve the same goals.” *Id.*; *see also BBBY v. OOCL*, 2026 WL 1285696, at \*147 (finding retaliation under the “for any other reason” clause based on conduct “closely related to the listed violations” and consistent with the FMC’s Retaliation Statement policy interpreting the anti-retaliation provision broadly such that shippers may put carriers “on notice” of possible legal action).

### JURISDICTION

The FMC has subject matter jurisdiction over each of DG’s claims in this action pursuant to the Shipping Act and, in particular, 46 U.S.C. Sections 41301 through 41309.<sup>3</sup> The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the FMC has jurisdiction over complaints alleging that a respondent committed a Shipping Act violation. *Cargo One, Inc. v. COSCO Container Lines Co.*, FMC Dkt. No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at \*15 (FMC Oct. 31, 2000); *see also BBBY v. OOCL*, 2026 WL 1285696, at \*92 (citing same). The FMC **must** address alleged violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Cargo One, Inc.*, 2000 WL 1648961, at \*15; *see also BBBY v. OOCL*, 2026 WL 1285696, at \*92 (citing same).

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<sup>3</sup> Each of the claims in this action arises under the Shipping Act and is not a breach of contract claim. *See 20230930-DK-Butterfly-1, Inc. v. Evergreen Line Joint Service Agreement*, FMC Dkt. No. 24-12, 2024 WL 3317830, at \*6-7 (ALJ June 26, 2024 (Order Denying Motion for Partial Dismissal of the Complaint); *OJ Commerce, LLC*, 2024 WL 4034610, at \*8 (“The Commission has a duty to consider Shipping Act claims because they are distinct from breach of contract claims and entail a different analysis.”) (citing *MCS Indus., Inc.*, 2024 WL 5714531, at \*7) *see also BBBY v. OOCL*, 2026 WL 1285696, at \*96, \*136 (shipper’s Section 41102(c) and 41104(a)(2) claims did not raise mere breach of contract issue).

The FMC’s obligation to hear Shipping Act claims extends even to cases where “the relevant facts may give rise to other claims between the parties,” and even where the parties have already obtained relief for those claims in another forum. *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2024 WL 5714531, at \*7 (FMC Jan. 3, 2024) (“Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant.”); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC Dkt. No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at \*10-11 (FMC May 10, 2006); *see also* *BBBY v. OOCL*, 2026 WL 1285696, at \*92 (citing cases). Thus, even if certain of DG’s claims could *also* form the basis for a claim for breach of contract in another forum, the FMC nonetheless must review such claims because they assert violations of the Shipping Act. *See* *BBBY v. OOCL*, 2023 WL 6391710, at \*5-8 (CALJ Sept. 28, 2023) (discussing cases); *20230930-DK-Butterfly-1, Inc. v. Evergreen Line Joint Service Agreement*, FMC Dkt. No. 24-12, 2024 WL 3317830, at \*7-10 (ALJ June 26, 2024) (Order Denying Motion for Partial Dismissal of the Complaint) (analyzing substantially similar claims under Section 41104(a)(2) and finding that claims relating to service contract violations were well-pled Shipping Act claims).

The FMC has personal jurisdiction over YM as an “ocean common carrier”, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a “service contract”, as that term is defined by 46 U.S.C. Section 40102(21), with DG. (C10, 40-41.)

## **ARGUMENT**

### **I. Count I: Yang Ming’s Conduct Violated 46 U.S.C. § 41102(c).**

#### **A. Count I, Element 1: YM is an ocean common carrier.**

This element has not been disputed. (C96-96.2; *supra* Introduction § I.B.)

**B. Count I, Element 2: YM’s acts or omissions occurred on a normal, customary, and continuous basis.**

Instead of meeting its service commitments, YM employed an unreasonable scheme in a “normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which [YM] was conducting business.” Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (FMC Dec. 17, 2018) (the “Final Rule”) *see also* *BBBY v. OOCL*, 2026 WL 1285696, at \*125-26 (finding similar alleged practices over an extended period and impacting thousands of carriers occurred on a “normal, customary, and continuous basis”). YM’s pattern of conduct resulted in mounting shortages for DG and other shippers throughout the 2021 Shipping Year. (C97-99.)

YM’s failure to meet its service commitments to DG under the 2021 Service Contract began immediately at the start of the 2021 Shipping Year, and was part of YM’s policies and practices that (1) are clearly demonstrated by YM’s internal communications and data, (2) intentionally sought to commit *more than all* of YM’s anticipated container capacity under its 2021 Shipping Year service contracts despite known industry conditions and risks of failure to meet those commitments, (3) made service commitments despite knowing that YM would *not*, in fact, be able to satisfy those commitments, (4) did result in numerous beneficial cargo owner (“BCO”) customers *not* receiving their promised allocations, and (5) exacerbated the issue by selling *more* space, at higher prices, to non-vessel operating carriers (“NVOs” or “NVOCCs”) for the *same sailings* on which YM was failing to satisfy service commitments to its BCOs, on a normal, customary, and continuous basis.

**1. DG, YM, and Expeditors internal data all demonstrate YM’s broad-based and continuous failure to meet its service commitments to DG and other BCO customers during the 2021 Shipping Year.**

As to DG specifically, YM carried only 616.13 FEU against a contractual MQC of 2,226 FEU, which represents a shortfall of approximately 1,610 FEU (nearly 72% of the total MQC), extending across all 53 weeks included in whole or in part in the 2021 Shipping Year, encompassing 571 individual container shipments from eight origin ports across China and Vietnam destined for four U.S. gateway ports. (C100-100.1.) As a result of YM’s 1,610-FEU shortfall during the 2021 Service Contract year, DG was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely. (C101.)

More broadly, YM’s internal data also demonstrates YM’s continuous and systematic failure to meet its service commitments to DG and its other BCO customers. YM’s internal records tracking its 2021 Shipping Year MQC compliance show that *YM’s 119 BCO accounts across the NAT, MAT, and SAT regions received only 35% of total MQC.* (C102-102.6; C103-103.6.)<sup>4</sup> This widespread service underperformance occurred even as *those same regions exceeded YM’s internal profit-driven, MQC-signing goals (“KPIs”) by nearly 16%.* It is a fact: YM sold capacity it could not deliver at the expense of its customers, including DG. (C102.5.)

**2. YM sought service contracts for more than all of its expected capacity.**

YM’s practice, which it maintained even during the 2021 Shipping Year in the midst of the COVID-19 pandemic and its associated disruptions, was to attempt to enter into service contract commitments that *exceeded* its anticipated shipping volume, rather than reserve any space for possible issues that might arise during a service contract year that could impact its ability to meet its service commitments to all of its customers, including BCOs. (C104; *infra* Argument § I.D.1.)

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<sup>4</sup> Of the 119 accounts, 115 (96.63%) failed to reach even YM’s internally-set, lower mid-year lifting targets of 50% of MQC. (C102.3.)

**3. YM made service commitments *knowing* it could not satisfy them.**

Far from an honest mistake as to the over-promising of space to customers, Yang Ming knew *before the beginning of the 2021 Shipping Year* that it had overcommitted space to its service contract customers and would not be able to satisfy the signed MQCs—*yet it continued to finalize and execute contracts anyway*. (C105; *infra* Argument § I.D.1.ii.)

**4. YM ultimately failed to satisfy its service commitments to *any* North America, East Coast BCO customer during the 2021 Shipping Year.**

YM's service commitment failures were widespread and systematic, and resulted in YM failing to meet its service commitment on fixed-price BCO service contracts with all customers in the SAT, NAT, MAT regions, including DG. (C106-107.) As outlined below, YM's massive shortfalls to BCOs were accompanied by overperformance for NVOCCs—a situation where YM told BCOs that there was no space on sailings but then sold space *on the same sailings*, through NVOCCs, to the BCOs at much higher prices.

As to DG, immediately upon entering into the 2021 Service Contract, Yang Ming began violating that contract's important volume commitment by providing DG with less than 5% of the bargained-for space in the first month of the 2021 Shipping Year, (C107-107.2), a level of non-compliance that would endure throughout the entirety of the 2021 Shipping Year. (C108.)<sup>5</sup> Beyond DG, as early as April 2021, numerous other shippers also already had serious shortfall and booking problems with YM. (C110.) YM immediately experienced disputes with customers raising its failure to fulfill its MQC service commitments throughout the 2021 Shipping Year. (C111.) Customers reported YM failing to act on booking requests, and openly worried that YM was underperforming other carriers, particularly on fixed-rate contract accounts. (C111.1-111.3 (“*My*

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<sup>5</sup> Actual volume for the entire contract year of 616 FEUs was 27.7% of the MQC commitment of 2,226 FEUs, a compliance level that approximated both DG's initial experience and the overall experience of other BCOs that were similarly treated by Yang Ming. (C108.1.)

*biggest concern is that we are getting our fixed/direct allocation from other carrier partners but not Yang Ming.”.)* YM’s sales team was at a loss: “I’m worried that we will never be able to resign these customers again. . . . *the ones that are here and we control are getting almost nothing.*” (C111.4-111.4.2.) In September 2021, YM salesperson DeFilippis stated he had “no idea at this point what we are going to tell them”, and continued: “*I know we have had discussions here with our management for more than a month and the talk has been that more space was going to be given to BCOs . . . that just seems to be talk at this point with no real substance that it is happening.*” (C111.5.1.) By December, YM management admitted YM’s failures, as illustrated by its explanation to YM’s customers during the upcoming contract negotiation season: “[o]ur HQ has a goal of MQC deduction from all customers. *This is due, in part, to the many blank sailings and inability to serve accounts properly.*” (C111.6.)

Given its performance, many shippers gave up trying to book space with YM during the 2021 Shipping Year. (C112.) As noted by similar YM accounts, customers “*believe some of this is YM has rejected bookings over last 18 months and forwarder has gotten in the habit of not bothering even book with [YM].*” (C112.1.) These and numerous other examples show that YM’s shortfalls with its BCO customers during the 2021 Shipping Year were systemic, severe, and consistent across all three of its North American Atlantic Coast regions. (C113-113.8.)

**5. YM’s policies and procedures also favored higher priced freight, compounding its over-commitment, and vast shortfalls, to its BCO customers.**

YM’s annualized data as compared to relative industry performance, as well as other evidence in the record, demonstrates YM’s service failures to DG and other of YM’s BCO customers were the result of YM’s deliberate policy of prioritizing higher-priced freight over its service commitments to those customers. (C114.) According to YM’s annual reports, YM’s total TEU volume actually declined during the pandemic from 5,435,000 TEUs in 2019 to 5,075,000

TEUs in 2020, further declining to 4,414,000 TEUs in 2021, which reflects a 13.0% decline from 2020 and an 18.8% decline from 2019. (C115.)<sup>6</sup> This volume decline occurred at a time when total industry volume was moving in the opposite direction, increasing from 169,426,000 TEUs in 2019 to 180,616,000 TEUs in 2021 (a 6.6% increase), which demonstrates YM’s volume underperformance reflected deliberate capacity reallocation choices rather than any industry-wide constraint. (C115.2.)<sup>7</sup> YM’s divergence from its peers is explained by its deliberate choice to prioritize higher-priced freight over its service commitments to those customers, which, as discussed below, resulted in enormous profits for YM during the 2021 Shipping Year despite its overall decrease in cargo liftings. (C116; 54-65.3.) As demonstrated, YM’s systematic failure to meet its service contracts commitments to DG and other customers occurred on a normal, customary, and continuous basis.

**C. Count I, Element 3: YM’s practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.**

YM’s failure to honor its service commitments, diversion of contracted space to other shippers, and failure to accept bookings “relate[] to or [are] connected with receiving, handling, storing, or delivering property.” *BBBY v. OOCL*, 2023 WL 6391710, at \*14 (“the Commission has authority to regulate the reasonableness of cargo space accommodations in service contracts, or any refusal thereof, for the time period covered by the complaint. . . . [I]t is clear that both service contracts and cargo space accommodations are regulated, as they are explicitly mentioned.”) (quoting statutes); *see also BBBY v. OOCL*, 2026 WL 1285696, at \*103 (“allegations regarding bookings and cargo space allocations are related to receiving and delivering property”).

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<sup>6</sup> Yang Ming’s volume modestly recovered to 4,613,000 TEUs in 2022, which remained 15.1% below 2019 levels. (C115.1.)

<sup>7</sup> The divergence between YM’s volume decline and industry volume growth was most pronounced in 2021, when YM’s volume declined 13.0% while the industry increased volume by 7.4%, a staggering 2,040 basis point underperformance in a single year. (C115.3.)

“[S]hipping rates may be considered part of receiving, handling, storing, or delivering property”. *BBBY v. OOCL*, 2023 WL 6391710, at \*11 (discussing *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (Ruth B. Ginsburg, J.)); *see also BBBY v. OOCL*, 2026 WL 1285696, at \*103 (“shipping rates may be considered part of receiving, handling, storing, or delivering property”); (C117-118.1).

**D. Count I, Element 4: YM’s practices and regulations are unjust and unreasonable.**

YM’s actions violated Section 41102(c)’s prohibition on unjust and unreasonable practices. YM’s policies of (1) failing to meet its service commitments as to allocating cargo space under the 2021 Service Contract with DG, (2) preferring higher-priced freight over meeting its service commitments under the 2021 Service Contract with DG, and (3) negotiating the 2021 Service Contract without intending to comply with it were unjust and unreasonable, inconsistent with historical industry practice, and (4) unwarranted by any constraints outside of YM’s control. (C119-121.2.) Moreover, (5) DG made *bona fide* and significant efforts to mitigate YM’s MQC shortfalls and unfair PSS practices. (C244-250.)

It is a longstanding requirement that carrier practices be reasonable:

*In order to pass muster . . . a regulation or practice must be tailored to meet its intended purpose. A regulation or practice may have a valid purpose and yet be unreasonable because it goes beyond what is necessary to achieve that purpose. . . . [I]t must be “fit and appropriate to the end in view”.*

*Distrib. Servs., Ltd. v. Trans-Pac. Freight Conf. of Japan & Its Member Lines*, 24 S.R.R. 714, 1988 WL 340659, at \*7 (FMC Jan 6, 1988); *see also Black’s Law Dictionary* (4th ed. 1951) (“Reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.”).<sup>8</sup> “The proper inquiry under

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<sup>8</sup> Section 41102(c) was derived from section 17 of the 1916 Shipping Act, and carried through in Section 10(d)(1) of the Shipping Act of 1984.

[section] 17 is, in a word, whether the charge levied is reasonably related to the service rendered.” *Volkswagenwerk Aktiengesellschaft v. FMC*, 390 U.S. 261, 282 (1968). For decades, the FMC has recognized that the practice of demanding higher rates than those set forth in a governing service contract is unlawful and unreasonable. *See* Fact Finding Investigation No. 23 – Ocean Common Carrier Practices in the Transpacific Trades, Order Discontinuing Proceeding, 1999 WL 1294886, at \*3 (FMC Dec. 29, 1999) (“Fact Finding Investigation No. 23”); 1999 Walsh Letter at 4, *BBBY v. OOCL*, FMC Dkt. No. 23-02, Doc. No. 99 at 5032 (“the contractual obligation to provide service in exchange for favorable rates may reinforce the carrier’s obligation to the service contract signatory”) (discussing *Cal. Shipping Line v. Yangming Marine Transp. Corp.*, FMC Dkt No. 88-15, 25 S.R.R. 1213, 1235, 1990 WL 427466, at \*33 (FMC Oct. 19, 1990)); *PKDC v. CMA*, FMC Dkt. No. 24-21, slip op. at 20-21 (ALJ Sept. 8, 2026) (same).

Three recent decisions have addressed what constitutes unreasonable conduct: *OJ Commerce, LLC*, 2024 WL 4034610, *MCS Industries*, 2024 WL 5714531, and *BBBY v. OOCL*, 2026 WL 1285696. *OJ Commerce* involved a shipper’s 2020-2021 service contract with carrier Hamburg Süd and subsequent application for a new contract for the following year. *See OJ Commerce, LLC*, 2024 WL 4034610 at \*1-4. The shipper, OJ Commerce, complained and threatened legal action over Hamburg Süd’s failure to provide all the contracted space under the service contract, and in response Hamburg Süd ended negotiations for the following year’s contract and stopped providing space under the existing contract. *See id.* at \*1-4, 9. Analyzing the reasonableness prong of OJ Commerce’s refusal to deal claim, the FMC emphasized that Hamburg Süd’s employees knew and admitted they were not meeting their contractual commitments and offered pretextual excuses for the refusal to renew or expand the relationship. *Id.* at \*11-12.

*MCS Industries* similarly involved claims of unreasonable conduct by a carrier. The complainant shipper alleged, among other things, that it and MSC Mediterranean Shipping Co. SA (“MSC”) entered into service contracts but that MSC refused to provide all of the contracted-for space, discriminated against the shipper in favor of higher-priced customers, and demanded extracontractual concession such as PSS before it would perform under its service contracts. *See MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt No. 21-05, 2021 WL 6926682, at \*5-11 (Dec. 23, 2021) (Verified Amended Complaint). While the initial decision in that case was a default judgment that did not reach the merits due to MSC’s refusal to comply with discovery orders, *see MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt No. 21-05, 2024 WL 3514613, at \*1 (FMC July 16, 2024) (Order Affirming Initial Decision on Remand), the FMC denied the respondent’s motion to dismiss for failure to state a claim because the complainant had alleged “plausible violations of the Shipping Act”. *MCS Indus., Inc.*, 2022 WL 458569, at \*6. Specifically, the FMC found that the complaint in that case alleged facts sufficient to state a claim of unreasonable practices under 46 U.S.C. Section 41102(c), including “failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, and deliberately coercing surcharges including [PSS] as a precondition to carry previously contracted cargo”. *Id.* at \*4, \*6 (brackets in original).

*BBBY v. OOCL* involved claims of unreasonable carrier conduct that are effectively identical to those at issue here. *See generally BBBY v. OOCL*, 2026 WL 1285696. In that action, the shipper (“BBBY”) alleged that the carrier, Orient Overseas Container Line Ltd. (“OOCL”), failed to meet its space commitments to BBBY and instead employed unreasonable policies of preferring higher-priced freight, discriminating against fixed-price service contract customers in favor of higher-priced freight, and pressuring BBBY to accept surcharges and premium rates to

obtain space. *See id.* at \*1, \*102, \*120. The Initial Decision found that (1) OOCL “did not make a good faith effort” to make available the space that BBY was promised in the parties’ service contracts”, *id.* at \*119; (2) flaws in OOCL’s internal allocation system likewise prevented BBY from using the space it had contracted for, *id.*; and (3) “OOCL preferred higher-priced freight at the expense of its service commitments, unreasonabl[y] coerced overcharges, and unreasonably shifted space to higher-priced cargo”. *Id.* at \*125. Thus, OOCL’s space allocation, PSS, and premium pricing practices were unjust and unreasonable. *Id.* at \*119, \*125.<sup>9</sup> So too are YM’s practices here.

Nor do the circumstances of the COVID-19 pandemic render YM’s behavior reasonable. *See* 1999 Walsh Letter at 3, *BBY v. OOCL*, FMC Dkt. No. 23-02, Doc. No. 99 at 5031 (“In situations where increased demand for space is straining a common carrier’s operation, the duty to serve the public fairly and equitably does not become secondary to a carrier’s desire and opportunity for revenue enhancement”); Fact Finding Investigation No. 23 at \*1, \*3 (upon conclusion of fact finding process relating to shortages of space during 1998’s peak shipping season, FMC continues to pursue possible “enforcement action” against carriers “identified by their own documents, as well as by a limited number of shippers, as refusing space or service or demanding rates higher than those set forth in existing service contracts.”); *BBY v. OOCL*, 2026 WL 1285696, at \*105 (“The Commission has repeatedly stated that: ‘Where the demand for space exceeds the supply, the law is clear: a common carrier must equitably prorate its available space among shippers’”) (quoting *Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615, 620 (FMB

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<sup>9</sup> Other recent precedent also reaffirmed that a carrier’s failure to meet MQC commitments is unreasonable. *See, e.g., 20230930-DK-Butterfly-1, Inc. v. Evergreen Line Joint Service Agreement*, 2024 WL 3317830, at \*5 (citing *MCS Indus., Inc.*, 2022 WL 458569, at \*4 (complaint alleging failure to maintain or provide booking reports, preferring higher-priced cargo over performing on its service contracts, and coercing peak season surcharges as a precondition to carry contracted cargo was sufficient to allege Shipping Act claim distinct from any breach of contract claim)).

1959) (*aff'd sub nom Grace Line Inc. v. Federal Maritime Board*, 280 F.2d 790 (2d Cir. 1960)); *Levantino & Sons v. Prudential-Grace Lines*, 18 F.M.C. 89, 104 (ALJ Aug. 17, 1973), *admin. final* (Dec. 16, 1974) (“A carrier must establish a reasonable plan in order to cope with periods of congestion and must fill its capacity in a reasonable and just manner when such periods occur”).

**1. YM’s practice of violating its service commitments in favor of systematically favoring higher-priced freight was unjust and unreasonable.**

Throughout the 2021 Shipping Year, YM unreasonably failed to meet its service commitments to DG and other BCO customers, including because (i) DG reasonably relied on YM to fulfilling its service commitments and because (ii) YM deliberately designed its cargo allocation system to fail its service commitments to its BCO customers during the 2021 Shipping Year; (iii) YM’s policies targeted DG and failed to make reasonable accommodations to provide space under the 2021 Service Contract; and (iv) YM otherwise failed to make reasonable accommodations to provide space to DG and other of its BCO customers. (C122.)

**i. DG’s reliance on YM fulfilling its service commitments was reasonable and consistent with prior practice.**

DG reasonably relied on YM to fulfill YM’s service commitments under the Service Contracts. (C123.) DG also complied with its own obligations under the 2012 Service Contract, (C124), including by:

- Maintaining its standard practice of negotiating service contracts based on anticipated vessel space needs, (C124.1);
- Having sufficient volume available to satisfy all of its MQC commitments during the 2021 Shipping Year, (C124.2);<sup>10</sup>
- Intentionally under-committing its overall MQC because the company aimed for accuracy amidst surging demand and market uncertainty rather than attempting to take advantage of the market, (C124.3);

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<sup>10</sup> COVID-19-related issues did not significantly impede DG’s ability to move cargo to the ports, as the company’s volume was high enough that they could substitute cargo from different vendors if one was unavailable. (C127.2.2.)

- Employing an experienced and capable third-party booking agent, Expeditors, which diligently performed its duties in attempting to make bookings with YM on DG's behalf, (C14-39, 124.4);
- Making repeated requests for the space to which YM had committed in the 2021 Service Contract, (C124.5);
- Regularly reviewing container space provided by YM, (C124.6); and
- Communicating its cargo needs to Yang Ming in advance by consistently providing FEU forecasts to YM, which DG diligently sought to ensure were accurate. (C124.7-124.7.3.)<sup>11</sup>

Nevertheless, YM never came close to satisfying its service commitments under the 2021 Service Contract, ultimately carrying less than 27% of that contract's MQC. (C125-125.4.) That unreasonableness is underscored by the fact that, in the container shipping industry, carriers' BCO customers, such as DG, rely on consistent, predictable contracted space for their complex supply chains to obtain a predictability and stability that benefits both parties and, ultimately, consumers. (C129.) Thus, DG's reliance on YM to fulfill its commitments is consistent with longstanding industry practices and expectations. *See, e.g., BBY v. OOCL*, 2026 WL 1285696, at \*123-125 (Shipping Act violation where carrier failed to make "good faith" effort to meet its MQC and preferred "higher-priced freight at the expense of its service commitments"); *see also id.* at \*117 (carriers must provide space in a reasonable manner with sufficient notice for the shipper to utilize the space); *id.* at \*119 ("an efficient and economic transportation system is one in which all parties adhere to agreed-upon responsibilities") (cleaned up) (citing *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, FMC Dkt No. 14-04, 2016 WL 5110081, \*13 (FMC Sept. 14, 2016)).

The recent decisions in *OJ Commerce* and *BBY v. OOCL* are instructive. In both cases, which awarded reparations, the complainant shipper, like DG here, had repeatedly asked the

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<sup>11</sup> Indeed, DG was incentivized to do so under the 2021 Service Contract, which included a provision that committed YM to provide DG no less than 130% of DG's weekly forecasted space volume as long as DG provided its forecasts four weeks in advance of the respective shipment week. (C127.3.1.) As the record shows, DG consistently provided such forecasts throughout the 2021 Shipping Year, which further underscores the unreasonableness of YM's failure to meet its service commitments under the 2021 Service Contract. (C127.3.2.)

respondent carrier for more space throughout the term of its service contract. *See OJ Commerce, LLC*, 2024 WL 4034610, at \*2; *BBBY v. OOCL*, 2026 WL 1285696, at \*114, \*119. Just like those shippers, DG and its booking agent made repeated requests for the space to which DG was entitled under its service contract with YM and provided YM with regular forecasts of DG's cargo space needs. *See BBBY v. OOCL*, 2026 WL 1285696, at \*112. As in those two cases, YM's failure to provide space under the 2021 Service Contract is not due to any fault of DG or its booking agent.

**ii. YM deliberately designed its cargo allocation system to fail its service commitments to its BCO customers during the 2021 Shipping Year.**

YM's allocation scheme was deeply flawed, as demonstrated by the poor outcomes it yielded in service commitment fulfillment. (C127-128.) YM knew, or should have known, that its allocation policies were an unreasonable and ineffective tool to meet its service commitments to DG and its other BCO customers. (C128.1.) Indeed, YM *did* know this: YM's allocation policies were *deliberately* intended to constrain the space available to YM's BCO customers and free up space for higher-priced cargo. *See BBBY v. OOCL*, 2026 WL 1285696, at \*113, 119 (finding unreasonable carrier's failure to make good faith effort to provide shipper space promised under parties' service contracts and reliance on flawed internal systems that, *inter alia*, arbitrarily declined bookings and did not give shipper reasonable opportunity to use space to which it was entitled).

Annually, YM undertakes a process to determine how much shipping capacity it will have in the upcoming year. (C129.) As discussed below, YM's strategy for the 2021 Shipping Year was to participate in the spot market for ocean freight through short-term service contracts with NVOCCs that, in practice, effectively floated along with prevailing spot rates. (C130.) YM accomplished that goal, in part, by knowingly overcommitting the space it had available to its BCO customers, a willful choice made with full knowledge that it would be impossible to fulfill its MQC

commitments. (C131-131.1.) As to who *did* receive the space from YM, YM's internal documents establish that YM favored NVOs on short-term spot market-based rates and premium price service contracts with BCOs. (C130.1.) YM's space allocation system and policies during the 2021 Shipping Year were fundamentally and deliberately ill-designed to honor its MQC commitments to BCO customers, including DG, and were not the product of operational constraints but instead of conscious commercial choices made at YM's highest levels. (C132.)<sup>12</sup>

**a. YM deliberately overcommitted service contract MQCs across its customers going into the 2021 Shipping Year.**

As YM's proffered expert, Gary Kardian, himself admitted, ocean carriers such as YM have an obligation to assess and plan for their actual carrying capacity before making a service commitment, (C134), and as such a carrier must have a reasonable plan in place to cope with periods of congestion and must utilize and allocate its capacity in a reasonable and just manner when those periods occur. (C135.) Despite being well aware of significant constraints on available vessel space and the growing imbalance between demand and capacity, YM instead chose to use that port congestion and other supply chain disruptions resulting from the COVID-19 pandemic to maximize its profits, principally through a policy of increasing the absolute numbers of customer accounts for the 2021 Shipping Year and committing space to those customers over and above what YM knew to be its actual capacity for that time period. (C136-138.)<sup>13</sup>

YM understood that as its customers faced space shortages, its contract negotiations with shippers would benefit YM. (C140-140.1.) In early 2021, as contract negotiations for the 2021

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<sup>12</sup> YM's policies were not dictated by any capacity constraints that would justify even a fraction of YM's shortfall to DG. (133.) While YM's total container liftings declined in the 2021 Shipping Year, this decline was not attributable to any reduction in YM's total lift capacity, nor to legitimate blank sailings caused by capacity constraints. (C133.1.) In fact, YM's available capacity *increased* during this period, and its lower liftings reflected a deliberate reallocation of capacity away from the Asia-U.S. trade rather than any genuine shortage. (C133.2.)

<sup>13</sup> Ultimately, YM's policies proved successful, at least as far as their narrow goal of maximizing YM's profits during the 2021 Shipping Year was concerned. Compared to the pre-pandemic era, YM saw a strong spike in profitability in 2020 and 2021 driven by surging global demand and significant rate increases across all trade lanes. (C139-139.1.)

Shipping Year were getting underway, YM senior management clearly signaled to its North American salespeople that they should opportunistically maximize revenue even when it was inconsistent with MQC commitments. (C140.2.) On January 8, 2021, **Brian Chen (Manager of YM TPEB's Marketing & Pricing Team for North American, see C13)** shared YM's strategy, which had been developed at two TPEB management meetings in late 2020 that resulted in YM seeking to focus on signing new accounts and grow its account base for the 2021 Shipping Year. (C140.3.) After hearing concerns from the North American salespeople, Chen attached a Freight Waves article ("**Trans-Pacific shipping rates just popped to new all-time high**") and declared that:

***"2021 contract season should be in favor of carriers."***

(C140.4.) Chen based this pronouncement on "recent Strong Demand, Rates up to both coasts & Southern California pileup", which Chen testified resulted in "shippers were more willing to accept higher rates". (C140.5-140.6.) As this shows, despite being well aware of space complaints that its customers consistently raised since early in the pandemic, YM's top management chose to capitalize on the unprecedented conditions facing its customers. (C140.7.) As YM's internal data juxtaposing its "success" on its own internal profit-driven metrics alongside its concurrent service failures to North American customers during the 2021 Shipping Year also shows, YM's sales teams would take management's directive to heart. (C141-142; *supra* Argument § I.B)

**b. YM knew it could not meet its service commitments in its service contracts with DG and its other customers.**

Internally, even before the 2021 Service Contract period began and as early as March 2021, YM's United States sales employees internally acknowledged it was selling space it did not have, (C143-.143.1 ("**I do have one question? If we are reducing MOC on some of the offers we have made to VIP key BCO's I would not think we are interested in signing the below accounts, should we?**")), while YM HQ simultaneously and consciously ignored the reality of the year-long

and ongoing pandemic. (C143.3 (“*If we are to consider these non-controllable factors when deciding overall MQC, the MQC would probably be half of currently signed MQC.*”).)<sup>14</sup> The alarms rang from YM’s highest levels, including YM’s North America V.P. of Sales: “*We understand the need to maximize revenue, but if we cannot do a better job the upcoming year is going to be a nightmare for us here... As you will see we are only accommodating now 55% of the 2021 signed BCO volume.*” (C143.4.) YM HQ’s response to rising customer complaints was callous: “even 1F is better than giving nothing for several consecutive weeks or months.” (C143.5)

Externally, YM told a different story to its customers throughout the 2021 Shipping Year.<sup>15</sup> In contrast to its internal projections, YM showed much more positive forecasts to customers, (C144), including in a May 2021 presentation to DG that directly contradicted pessimistic outlooks that Wu and others at YM had shared internally less than a month prior. (C144.1-144.2.) As the year unfolded, events laid bare those misrepresentations. By August, Sandy Hsu admitted to a customer that, “*Frankly speaking, . . . the total MQC we sign [sic] this year is already more than the space we can provide.*” (C145)

YM’s overcommitment policy results are obvious and clearly quantified in a datasheet exchanged amongst YM’s central management personnel. In January 2022, Brian Chen sent Sandy Hsu a worksheet to develop YM’s MQC targets for Shipping Year 2022: Chen’s worksheet details YM’s actual versus target performance in the 2021 Shipping Year and its first tab shows that YM mostly met or surpassed its internal *profit-driven* performance goals (e.g., total MQC signed, total number of customer accounts signed). (C146-146.1.) In contrast, the spreadsheet’s other tabs show

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<sup>14</sup> YM management also shared a strategy that prioritized customers with MQCs over 350 FEU. (C143.3.1.) Regardless of prioritization, however, YM retained full discretion over allocation decisions. (C143.3.2.) Indeed, YM management intentionally tried to keep as many of their accounts below the 350 FEU threshold as possible. (C143.3.3.)

<sup>15</sup> This was standard practice for YM. (*Infra* Argument § VI.) YM management also regularly misled its own sales teams. (C142.)

YM's actual *service* performance against MQCs for YM's three North American Atlantic Coast regions (NAT, MAT, and SAT), comprised almost entirely of BCO customers, was abysmal: *out of the 119 North American accounts, only 4, or just 3%, even met YM's performance targets (most of which were set at only 50%).* (C146.2-146.3.) Astonishingly, Chen's worksheet also indicates that *YM had never intended to give DG and its other BCO customers more than 50% of the MQC that it had agreed to.* (C147-147.1.) Underscoring that YM's sales force understood and embraced Chen's January 2021 instructions, YM sales personnel had more than delivered by cutting MQC compliance by more than half again. (C148.)<sup>16</sup> In the same email communication in which he attached his 2021 Shipping Year lookback worksheet, Chen instructed Sandy Hsu to cut MQCs 25% for the upcoming year, itself a further unmistakable acknowledgement that YM had overcommitted cargo space to its customers. (C149.)<sup>17</sup>

That, however, was YM's plan all along. Chen's worksheet also shows that YM prioritized short-term, higher-priced freight at the expense of its BCO customers: the SAT region tab shows *DG at only 13% fulfillment* (lower than the regional average of 16%) while the same tab shows *an NVOCC as the only account that exceeded its (reduced) performance target.* (C150-150.1.)

**c. From the very start of the 2021 Shipping Year, YM admitted that it could not fulfill the MQCs it had just signed up.**

YM began the 2021 Shipping Year not with a good-faith effort to perform, but with the immediate realization of what Greg Krueger, Vice President of YM's North American Sales Department, called a "nightmare." (C151.) On April 28, 2021, Michael Wu—the YM management employee responsible for the SAT region, including DG's account, during the 2021 Shipping

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<sup>16</sup> Average performance in YM's North American Atlantic regions was 13% (NAT), 17% (MAT), and 16% (SAT).

<sup>17</sup> As YM began negotiating service contracts for the 2022 Shipping Year, internally and in communications with its customers, YM acknowledged that its overcommitment for the 2021 Shipping Year was in part responsible for YM deciding to propose significant cuts to the MQCs it proposed to its customers for the 2022 Shipping Year. (C150.1.)

Year—emailed his sales team warning of a “*worst case scenario*”; stating terminal congestion and vessel delay were “*still raging*” and expected to “*last another few months or the whole year*”; and acknowledging that customers were already questioning whether YM was allocating space pursuant to its MQC commitments. (C152-152.2, 406.1.)<sup>18</sup> The “worst case scenario” envisioned by YM HQ materialized immediately.

Acting to obtain space from YM for DG, Expeditors experienced severe hardship as early as May 12. (C153 (“*Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected... How can we secure the committed space for Dollar General shipments?*”). On May 13, 2021, Expeditors again reached out to YM, begging for help in relieving factory backlogs at origins in China. (C153.1 (“*We sincerely request Yang Ming release SO asap which will help to clear huge backlog sit in factory and CFS warehouse.*”) On May 14, 2021, Wu confirmed internally that YM’s refusal was a calculated choice: “seems very limited booking is released . . . *We had already pressed down the allocation, namely not matching their MQC and this is one of our target account.*” (C153.2.) Sadly, DG was hardly alone, as numerous examples—including YM’s own internal admissions—categorically demonstrate. (C154 (“*[a]ll customers are facing space problems now*”).)

*OJ Commerce* is on all fours. Like the internal warnings in *OJ Commerce*, these materials show that YM “knew and admitted they were not meeting their contractual commitments”. *OJ Commerce, LLC*, 2024 WL 4034610, at \*12; *see also BBY v. OOCL*, 2026 WL 1285696 at \*119 (“An efficient [and] economic transportation system is one in which all parties adhere to agreed-

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<sup>18</sup> Wu clarified that that YM’s MQC goal was based on estimated capacity under *normal* conditions, with vessel delay and space fluctuation falling outside that scope, an unreasonable practice given the “still raging” pandemic conditions. (C152.1.)

upon responsibilities.”) (quoting *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, FMC Dkt. No. 14-04, 2016 WL 5110081, \*13 (FMC Sept. 14, 2016)).

**d. YM’s booking practices unreasonably obstructed its BCO customers, like DG, from booking space under their service contracts with YM.**

YM’s booking system during the 2021 Shipping Year was functionally ad hoc, relying on a largely manual, email-driven process of exchanging forecasts and booking requests amongst YM, its customers, like DG, and those customers’ booking agents, like Expeditors, that YM weaponized through a myriad of restrictive booking practices during the 2021 Shipping Year. (C155-156.)

In effect, YM’s booking practices resemble those found unreasonable in *BBBY v. OOCL* and were at least as unreasonable as those practices. In that case the carrier’s similar reliance on a flawed internal space allocation system, which failed to allow the carrier’s shipping customers to obtain contracted-for space on the carrier’s vessels because *inter alia* the system “denied bookings” and “failed to properly track booking requests”, constituted an unreasonable space allocation policy. 2026 WL 1285696, at \*107-113, 119. Booking requests that exceeded the customer’s space allocation were routinely denied or ignored, *id.* at \*107-109, and the carrier failed to even notify its customers of its action (or inaction) on those requests. *Id.* at \*108, \*111-12.<sup>19</sup> The carrier’s failure to reasonably communicate to customers the consequences of attempting to book above allocation, which could result in booking cancellations, *id.* at \*110-11, was further compounded by the carrier’s booking system’s failure to reliably track booking attempts, overall inaccuracy flaws, and the carrier’s practices of overbooking vessels and leaving bookings unaddressed in a “pending” limbo state. *Id.* at \*111-14.

Also like the carrier in *BBBY v. OOCL*, YM *knew* about and intentionally manipulated its restrictive booking system to “maximize profits”. *Id.* at \*107, 109. Those practices included:

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<sup>19</sup> Sometimes, the carrier declined even bookings *within* its unilateral allocations to its customers. *Id.*

- Making it structurally difficult for customers or their agents to successfully submit qualifying booking requests (C157);
- Instituting unreasonable booking cutoff requirements, including by elongating booking windows without notice (C158-158.4);
- Failing to respond to e-mail requests for bookings (C159-159.3);
- Failing to notify customers when a booking was rejected or pended (C160-160.3);
- Summarily rejecting bookings if customers requested their full weekly allocation but YM's system showed a lesser amount (C161-161.4);
- Summarily rejecting bookings due to unavailable container sizes (C162);
- Refusing to provide space allocation reports identifying alternative vessel or port availability, or to offer customers opportunities to work around space constraints even if, like DG, a customer expressed flexibility to move cargo between ports and vessels (C163);

And, perhaps most alarmingly,

- Using pretextual excuses, such as “port congestion”, to impose booking restrictions on customers like DG without telling them in order to avoid legal disputes. (C164.)

The statistics confirm that YM's booking rejection practices were not isolated incidents but a pervasive and sustained pattern that affected DG and virtually every other BCO customer throughout the entire 2021 Shipping Year. (C165-165.3.) For DG alone, during the 2021 Shipping Year, Expeditors submitted to YM 9,904.41 FEUs of bookings, of which YM confirmed only 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%). (C165.2.)<sup>20</sup> Ultimately, YM carried only 616.756 FEUs out of DG's contracted MQC of 2,226 FEU of space under the 2021 Service Contract. (C165.3.)

YM had full visibility into its booking rejection practices that were generating YM's record profits at the expense of its BCO customers like DG; knew those practices were generating direct

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<sup>20</sup> Notably, even if YM “confirmed” a booking request, that did not necessarily mean YM shipped that booking.

and quantifiable financial harm to those customers; and internally acknowledged that harm with indifference, dissimulation, and even hostility throughout the 2021 Shipping Year. (C166-167.)

**iii. YM's policies targeted DG and failed to make reasonable accommodations to provide space under the 2021 Service Contract.**

**a. DG raises service failures in May 2021 DG-YM meeting.**

May 2021 was defined not only by the inherent environmental complexities of the COVID-19 pandemic but also by YM manufacturing arbitrary structural complexity and barriers to facilitate deliberate MQC shortfalls against its service commitments with BCO customers. (C168.)

DG immediately raised its concerns with YM regarding YM's non-compliance with the 2021 Service Contract. On May 13, 2021, YM internally noted: "*We are under heavy pressure from DG and, in fact, have been called to another meeting today with their VP of Transportation, for lack of our performance.*" (C169-170.)<sup>21</sup> In addition to these initial meetings with YM's sales team, DG also demanded a high-level meeting with YM's Taiwan-based TPEB management team to discuss the current shortfall, which took place on May 24, 2021 and included the bulk of YM's TPEB leadership and SAT sales team as well as senior DG personnel. (C171-172).<sup>22</sup> The meeting focused on DG communicating that "*[i]t is very critical for DG to get support from Yang Ming*" and that YM was failing the service commitments it had agreed to in the 2021 Service Contract, and raising the possibility of legal action against YM, as DG's VP of Transportation memorialized in a May 26 email follow up to the meeting, stating:

***Dollar General is very concerned that Yang Ming is not meeting its contractual allocation to accept our cargo. We made a good faith agreement at a rate much***

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<sup>21</sup> Due to YM's immediate 2021 Shipping Year shortfalls, YM's customers, including DG, increasingly demanded meetings with YM to address YM's ongoing failures to meet its service commitments. (C173.) YM internal communications show a lack of interest in these meetings regarding customer complaints. (C173.1-173.1.2.)

<sup>22</sup> Attendees included Rolly Chien (Department Head, TPEB), Winson Yeh (V.P., TPEB), Brian Chen (Manager, Marketing & Pricing Team B, TPEB), Michael Wu (Senior Manager, Marketing & Pricing Team B, TPEB, SAT region), Mike Collins (Sales Director, SAT region), Chris Cobb (Regional Sales Manager, SAT region), Jim Nickels (Sales Representative, SAT region) for YM and Sanjay Mishra (V.P. of International Transportation) and Chelsea Morris (Senior Manager of International Transportation) for DG. (C8, 13, 172.)

*higher than previous year contract with the anticipation that YML with respects [sic] it's end of its commitment. We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June. (C174-175.)*

That email also shared the basis for DG's position ("Key Points for YMLU") with data showing YM's confirmed bookings up to that point equaled a mere 13 FEUs and June projections equaling only 2 FEUs for a combined *15 FEUs against an expected 344 FEUs, representing only 4% of YM's space commitments to DG* (based on a MQC/52 of 43F per week). (C176.)<sup>23</sup> YM internal meeting notes shared within YM HQ likewise memorialized the concerns DG raised as to YM fulfilling its service commitments under the 2021 Service Contract. (C178-178.2.)

As discussed below, going forward, YM's response to DG's concerns raised in the May 2021 meeting was to treat DG as a legal risk, which YM itself had manufactured through its other unreasonable and unjust policies and practices, and deliberately shut out DG from shipping cargo with YM. YM had already laid the groundwork for this policy going into the May 2021 meeting with DG, at which YM presented a PowerPoint prepared by TPEB management that, while admitting "[t]here isn't much firm booking til now", promised that *"[t]he numbers will be improve [sic] week by week from now on"*. (C179-179.2.) That rosy outlook was a flat-out misrepresentation, as demonstrated by YM's more pessimistic and credible internal assessments just weeks earlier, (C180-180.6), as well as events themselves, as YM never improved its performance and, ultimately, deliberately failed to meet its service commitments to DG under the 2021 Service Contract.<sup>24</sup>

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<sup>23</sup> As Mishra's email also noted as a "Key Point" for YM, YM's failure was even more glaring given that the 2021 Service Contract committed YM to "provide weekly space at a level not less than 130% of the [DG] forecasted FEU volume 4 weeks from scheduled shipment week", which forecasts DG would provide throughout the 2021 Shipping Year. (C177-177.1.)

<sup>24</sup> Incredibly, during the May 24, 2021 meeting, YM also tried to use its deliberate overcommitment policy as a fig leaf for failing to allocate space to DG: Slide 8 of YM's PowerPoint presentation admitted that "... *there is overwhelming new contracts coming this year so this actually take us more than usual years to settle and*

**b. YM's performance worsens after May 2021 DG-YM meetings.**

After the May 2021 meeting, DG made every effort to book cargo space with YM in accordance with the 2021 Service Contract. (C182.) However, YM's performance did not improve, and securing space for even a single container with YM was an extremely difficult challenge that YM exacerbated through a variety of obstacles it imposed on DG, including its restrictive booking practices. (C183-183.1.) Indeed, on May 26, 2021, *i.e., just two days after the meeting in which DG raised YM's unreasonable service failures under the 2021 Service Contract*, Expeditors sent a message directly to YM, stating: *"We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking. I will not place another booking with YMLU until you have assured me that these issues have been resolved."* (C184.) Unbeknownst to DG, YM purposely created that "environment" and would maintain it against DG going forward.

June was a vital month for DG, as Jim Nickels, YM sales' account representative for DG, warned TPEB management on May 31: *"We are greatly damaging our relationship with this new account. All carriers are having problems but YM is performing very poorly for DG."* (C186.) However, although DG expressed flexibility to move cargo between different ports of origin and vessels to avoid booking issues, YM did not offer good faith opportunities to navigate the constraints it had helped to create. (C187.) For example, on June 3, 2021, DG begged YM for help and again raised YM's service failures:

***While we are happy to get more than 10F in a month, 16F per week is still only 1/3 of what we should be getting MQC/52.*** Again, we are open to a discussion on rates. I would first ask that we concentrate on covering your awarded lanes. Beyond that, our need is primarily out of top three base ports (SZX/NGB/SHA) to LA or

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*communicate with our origins."* (C181.) At his deposition, Michael Wu explained that language in terms of YM's overcommitment of MQC, while pointing the finger at his own sales team: "Regarding the new contracts here, it is about getting more new customers. . . . For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. However, from the perspective of the headquarters, we want more customers to divide up our target. . . . Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. 'Overwhelmingly new contracts.'" (C181.1.)

GIC for future weeks. My greatest need right now is out of SZX, where I have a current backlog of 1400 containers. If you all can provide a rate level at which we can purchase space up and above the 40F per week, we are happy to have that conversation. ***In the meantime, we do need MQC/52 honored, which is a fraction of the contractual obligation.*** (C188.)<sup>25</sup>

On June 10, 2021, DG's Chelsea Morris raised a potential legal dispute to Nickels: "If we aren't getting the space out of SZX, we should be getting this from an alternate port. ***That space is [DG's] space regardless of the port of lading.***" (C190.) On June 14, YM's intransigence led DG to request biweekly reports from YM "illustrating the current usage of [DG's] allocated space" including "previous weeks, current week, and the next 3 weeks". (C191.)

DG's efforts to obtain space from YM and monitor YM's service failures, however, had the opposite effect. On June 15, 2021, immediately after DG requested the biweekly reports from YM, ***YM internally flagged DG as one of "our TPEB customers that seem to complain the most"*** along with 18 other customer accounts. (C192.) ***The very next day***, on June 16, 2021, YM TPEB management made a deliberate decision at its highest levels to refuse allocating space to DG, with Rolly Chien, TPEB's department head, stating in an email that designated DG as one of YM's "TPEB most complaining customers" and included Brian Chen and Winston Yeh:

When each team reviews space allocation, please keep the following principles in mind: 1) ***Customers whose space has already been increased to a reasonable ratio should not be given additional space.*** . . . 3) This remains subject to each team's professional judgment of the customer's importance and ***assessment of whether the matter has escalated to a legal issue***, and other relevant factors. (C193-193.1.)

Chien's email reflects YM's unreasonable policy of refusing to allocate space to DG because YM perceived DG as a legal risk due to YM's own deliberate service failures under the 2021 Service Contract. (C193.2.) Following Chien's directive, TPEB immediately began implementing that policy, including by using its own sales team as a shield to absorb DG's

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<sup>25</sup> Simultaneously, Expeditors reported that YM refused to reserve space because YM claimed there was no valid contract rate for the specific route. (C189.)

frustration. (C193.3.) On June 25, 2021, YM’s SAT sales manager Chris Cobb updated DG on his team’s efforts to secure the space from management—with *bad news*: YM’s space allocation to DG was still well under MQC/52, and Cobb could only offer that “*Jim / Mike and myself are pushing every day to get this to the level you have requested*”. (C193.3.1-193.3.1.2.) On June 29, 2021, the SAT sales team internally acknowledged YM’s ongoing service failures to DG, with Mike Collins observing that the grim allocation situation “*certainly doesn’t look to be getting any better*”, to which Nickels agreed: “*No, we are giving them zippo. We are giving my smaller accounts more.*” (C193.3.2-193.3.2.1.) Whether YM’s *sales* team knew it or not, YM’s *management* team had intentionally sent its sales team on a mission designed to fail.<sup>26</sup>

Ultimately, YM’s conduct and policies had the desired effect of convincing DG that YM would not honor its service commitments. *DG was frank with YM*. On July 15, 2021, YM acknowledged internally that DG was “very upset with YM”, cut a meeting with YM “short as ‘a waste of time’” as YM was “*by far, their worst performing carrier*”, and that DG “would never invite us again if performance didn’t drastically improve.” (C196-197.) On August 25, 2021, DG sent YM an email quantifying YM’s failures in terms of DG’s losses incurred due to YM’s service failures to DG: “*you guys have cost [DG] nearly \$8M this contract year already* by not fulfilling your run rate”. (C198.)<sup>27</sup> As YM intended, its consistent MQC shortfalls led DG to deprioritize YM in favor of carriers that were more likely to provide DG with cargo space. (C199.) However,

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<sup>26</sup> As the summer wore on, on a systemic level, YM’s North American sales teams continued raising alarms to YM HQ, with no success (and, in DG’s case, increasingly worse outcomes). On July 14, 2021, Greg Krueger emphasized that “*we really need [HQ’s] support* for some of our *BCO customers that are high maintenance*. These accounts [*sic*] we are fearful that we will lose support in the coming year due to our inability to service the minimum requirements . . . *understand the need to maximize revenue and the direction HQ office is pushing*, but we also need to take a balanced approach to sustain us in the year(s) to come.” (C194.) On July 15, 2021, Nickels admitted that he was “*shock[ed]*” by YM’s behavior, “*I think they can forget about a new contract next year with many of them*”, noting that he “*signed 12 accounts and still have 5 that have not lifted 1 teu since 5-1!*”. (C195.)

<sup>27</sup> YM employee Nickels agreed in an observation couched in terms of YM retaliating against DG, commenting: “*We punished them enough with the 8 million freight loss!*” (C198.1.)

even after YM sales outright admitted to DG that YM HQ simply refused to allocate space to DG, DG doggedly continued to push YM for space during the 2021 Shipping Year. (C199.1.)

While YM’s conduct towards DG was particularly egregious and, as set forth more fully below, motivated by a policy of retaliating against DG in response to DG putting YM on notice of YM’s service failures, DG was not the only one of YM’s BCO customers struggling to convince YM to allocate space. On August 11, 2021, YM sales employee Dan Vidal wrote to Brian Chen and Sandy Hsu regarding internal lifting statistics through July 2021, which reflected dismal performance by YM, and warning of the damage YM’s policies were having on customer relationships. (C200.) While Chen testified that the issues raised by YM sales were “serious problems”, (C200.1), if Chen or any other of YM’s management considered them to be serious problems at the time, they utterly failed to address them in a reasonable manner, as demonstrated by numerous examples and YM’s own internal statistics. (C201-202 (November 2021 YM North America Sales presentation to YM central management stating: TPEB “***HQ [should] be aware of our struggles dealing with the BCO customers on this side.***”).) YM HQ was indeed aware of its broad-based, systemic failures to allocate space to its North American BCO customers, including DG—that had been YM’s plan from the start.

**c. YM’s MQC shortfalls continued in 2022, moderated by space allocations to “avoid customer complaints”.**

As YM had planned, its shortfalls continued through the remainder of the 2021 Shipping Year. In November 2021, in an email with the subject “***Space Shortage***”, Brian Chen stated he was aware of “tight space” causing “space complaints” as well as “***accounts with serious lifting behind MQC***”. (C203.) YM was perfectly capable of remedying those shortfalls but would only do so in order to keep customers from rebelling: “[a]s part of the solution, we may consider to

increase space accommodation if necessary to avoid impacting future cooperation.” (C203.1.)<sup>28</sup>

On January 11, 2021, Chen sent another email to his management colleagues, including Michael Wu, stating: “Friendly reminder: There are fewer than four months left before the contract ends.

***Please make full use of the time before the contract ends to increase volume as much as possible for customers with potential legal risks, to avoid customer complaints.***” (C292.4.7.)

At the start of 2022, YM’s internal lifting reports showed the depth of its failure. On January 3, 2022, in a belated manner that speaks to deliberate misdirection, Chen noted that “BCO space complaint has been becoming a serious issue now, and also attracted a lot of attention from regulatory authority” (i.e., the Federal Maritime Commission), and asked other YM employees to “assist monitor space complaints or issues in your region.” (C206.) Attached to Chen’s January 3, 2022 email was a spreadsheet with a list of YM’s customers who were receiving approximately 50% or less of their allocation, (C207), and reflected ***DG only receiving 46% of YM’s purposefully suppressed space allotments for the time period covered*** (Weeks 32-35). (C207.1.) A week later, on January 11, 2022, Chen shared a spreadsheet with other YM employees, noting that ***YM had only achieved actual performance of 22% for DG compared to its own internal target performance of 67%***. (C208.)<sup>29</sup> In that same email, Chen also acknowledged customers with a potential ***legal risk*** and proposed “***solutions***”, that YM failed to implement as to DG, “***to avoid complaints***”. (C208.3-208.4.1.)<sup>30</sup> By March 2022, internal reports confirmed ***YM’s “Top 25 BCO with lifting behind MQC”—with DG at the very top of that list.*** (C210-210.1.)

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<sup>28</sup> Indeed, at the very same time that these systematic space shortages were cresting, Chen was suggesting MQCs for NVOs of approximately 30,000 TEUs spread over two carriers. (C204.)

<sup>29</sup> YM’s overall actual performance rate for comparable customer accounts was 29%. (C208.1.) Chen’s spreadsheet further shows that the United States market as a whole was receiving only 41% of its allocated space, and that no individual U.S. region was receiving more than 55%, with half below 30%. (C208.2.)

<sup>30</sup> At the very same time, YM used shippers’ previous inability to book space, a situation that YM itself created, as a justification to deny ***current*** space with those accounts. (C209.) For example, on January 11, 2022, YM sales employee Joel Yero described YM’s practice as “***beyond mind boggling***”, further stating, “***To tell an account we will not provide***

**iv. YM otherwise failed to make reasonable accommodations to provide space.**

YM otherwise failed to make reasonable accommodations to provide space to DG and other shippers during the 2021 Shipping Year. (C211.)

**2. YM employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments.**

Throughout the 2021 Shipping Year, YM maintained a policy of preferring higher-priced freight at the expense of its fixed-price service commitments to DG and other shippers. (C212.) As discussed below, YM used several methods to discriminate against its fixed-price BCO customers in favor of higher-priced freight. First, YM deliberately overcommitted service contract MQCs across its customers going into the 2021 Shipping Year and reneged on its obligations related to MQC with DG and other BCOs to make available their bargained for and guaranteed space to NVOCCs. Second, YM conditioned fulfilling its service commitments on a customer agreeing to PSS. Third, YM systematically shifted space from the Asia-U.S. trade to more profitable Asia-Europe routes, thereby further reducing the space available to its North American BCO customers. (C213.)

As discussed by DG's expert, John McCown, the impacts of YM's allocation scheme were pernicious, manifold, and contrary to longstanding industry practices (and FMC requirements) to honor service commitments, (C214), including because they created an environment where contract customers were set against each other and NVOCCs in competition for space that should have been given to BCOs, which resulted in a vicious cycle where BCOs, despite having relied on carrier commitments in fixed-price service contracts, had no option but to replace the missing volume at market prices. (C214.1-214.2.) By shifting space from BCOs to NVOCCs, the additional

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*space because they have not booked with us in a while is very disturbing considering the current environment of the industry . . . I am really perplexed by our arrogance and hope that this is will not be the new norm". (C209.1.)*

demand from customers who *should* have been able to rely on receiving their MQCs at contracted rates had the effect of *further* increasing demand and competition for available space, pushing prices even higher and allowing YM to profit greatly from its scheme. (C214.3.)

As the FMC recently affirmed, “offering higher spot market rates does not ameliorate the problems caused by not having a predictable, year-long service contract”, *OJ Commerce, LLC*, 2024 WL 4034610, at \*11, in part because spot market rates do not allow shippers the long-term planning, “as prices may fluctuate to an extent that products are not profitable to ship, and space may simply not be available.” *Id.* at \*11; *see also id.* at \*14 (“A carrier has no obligation to accept cargo pursuant to the spot market. And when a shipper may need guaranteed space the most, for instance during periods of peak demand or supply chain congestion, the spot market offers neither certainty the cargo will ship nor certainty the price will be palatable.”); *see also BBY v. OOCL*, 2026 WL 1285696, at \*125 (carrier’s practices of “prefer[ring] higher-priced freight at the expense of its service commitments” and “unreasonably shift[ing] space to higher-priced cargo” were unjust or unreasonable).

**i. YM unreasonably discriminated against its fixed-price service contract customers, including DG, in favor of higher-priced freight.**

As discussed above, going into the 2021 Shipping Year YM was fully aware that cargo rates were mainly driven by supply and demand, and sought to take advantage of the lower supply and higher demand for cargo space created by pandemic conditions. (C52-53.1, 215.) YM’s allocation scheme opened up additional room for it to sell space to NVOCCs at significantly higher spot-market rates, which could be multiples of BCO fixed-contract rates, and resulted in spot rate premiums that were particularly pronounced on the very lanes DG used most heavily. (C216-

217.3.)<sup>31</sup> Throughout the 2021 Shipping Year, YM deliberately exploited these rate differentials, (C218), a practice it described on May 18, 2021 as “*basically raffling space to the highest payer*”, (218.1), and days later in a summary of discussions with its customers:

While space is in shortage and *all customers* are pushing for more space, I would say in current spot market those customers care about their space availability only. *To secure space, they understand the common market practice by the act of customers that they will try to book with premium rate first then FAK and fixed(NAC) just become very rare . . . I would say that fixed(NAC) will be still the last priority in the market.* (C218.2)

YM’s favoritism toward NVOCCs reflected YM HQ’s pronouncement discussed above that the 2021 Shipping Year “should be in favor of carriers” and is itself reflected in Brian Chen’s January 2022 internal look-back spreadsheet for YM’s North America Atlantic regions, particularly the SAT region, which shows that an NVOCC was the only SAT region customer to meet its Target Performance, receiving 9,582.25 TEUs of Actual Lifting, while DG received only 588.75 TEUs and virtually every other BCO customer received a similarly fractional share of its contracted MQC. (C219.) Thus, simultaneous to YM’s dismal service performance for its 119 BCO accounts listed across YM’s NAT, MAT, and SAT regions, discussed above, YM continued to accept and move higher-priced NVOCC spot cargo at full utilization. (C219.1-219.2.)

YM’s policies were unreasonable, and YM knew it. YM’s employees fretted internally about the fairness and legality of providing additional space to select customers, rather than providing space on an equal or equitable basis, acknowledging customer complaints that the practice did a disservice to those customers who did not have an opportunity to receive the additional space. (C220.) YM pursued its unreasonable policy throughout the 2021 Shipping Year,

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<sup>31</sup> The rate differential between NVOCC spot-rate cargo and fixed-price BCO contract cargo is demonstrated by the gap between DG’s contracted rate of \$2,830 per FEU from Shanghai to Los Angeles and the Drewry Shanghai to Los Angeles weekly spot rate, which averaged \$9,635 per FEU during the entire 2021 contract period — more than three times DG’s contracted rate — and peaked at approximately \$10,190 per FEU in December 2021. (C217.1.)

however, and as a result of that discrimination, DG was forced to take unprecedented steps to replace the space it should have received under the Service Contracts. (C221.)

**ii. YM conditioned fulfilling its service commitments on a customer agreeing to PSS.**

During the 2021 Shipping Year, YM imposed PSS to force its customers with fixed-rate service contracts to pay prices for ocean freight that approached spot market pricing. (C222.) YM's internal emails confirm that its PSS scheme was deliberate, systematically implemented, and designed to extract above-contract revenue from BCO customers as a precondition to receiving their contracted space, with YM's pandemic PSS being both significantly higher in amount and longer in duration than pre-pandemic PSS—effectively acting as a year-round price adjustment to the rates previously agreed to under its service contracts with its BCO customers. (C223-223.2.)

By summer 2021, YM had shifted to a price-gouging orientation and manipulated its allocation schedule to favor customers who were willing to pay PSS or premium rates. (C224.) Because YM viewed the PSS as a necessary reflection of current market conditions, YM chose to prioritize shipments for shippers who entered into these PSS agreements. (C225.) Throughout the 2021 Shipping Year, YM advised its customers to agree to pay PSS to protect their chances to receive space and avoid the need to seek space in the volatile spot market. (C226-226.1.)<sup>32</sup>

To implement its PSS policy in the SAT region, YM used a customer ranking and prioritization system, which Michael Wu formalized on May 24, 2021, by categorizing all BCO customers into four types based on their responses to YM's PSS demands with corresponding “follow-up actions” dictating how much space, if any, a customer would receive going forward. (C227-228.2.) YM categorized DG as a “No PSS agreement” customer pursuant to the 2021 Service Contract and thus as “Type 1,” which signaled “no” follow-up action was required for DG.

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<sup>32</sup> YM's Cobb testified that a customer refusing to pay PSS could result in suspension of shipments. (C226.2.)

(C229-229.1.) YM thus systematically sidelined DG as part of YM’s strategy of maximizing revenues at the expense of its BCO service commitments and prioritizing pricing considerations above contractual obligations in its space allocation decisions. (C230-231.1.)

Despite being immensely profitable for YM, this policy was unreasonable and violated the Shipping Act. As the FMC acknowledged in *OJ Commerce*, fixed contract prices represent a guarantee of space that is most valuable *when prices are high and the shipper most needs the space*—and YM’s policy of refusing to carry cargo unless DG agreed to PSS that approached spot market pricing is no substitute for the fixed-price space that YM committed to provide under the Service Contracts. *See OJ Commerce, LLC*, 2024 WL 4034610, at \*11.

**iii. YM unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes.**

As part of its policy of abandoning its commitments under MQCs in service contracts with DG and other BCOs in order to chase opportunities with NVOCCs, YM also purposefully chased profits by shifting capacity away from the Asia-U.S. trade to Asia-Europe routes, which policy is reflected in YM’s annual revenue statistics covering the 2021 Shipping Year. (C232-233.)

Table 6 of the McCown Report shows that in 2021 YM’s percent of total revenue represented *United States customers* declined to 32.6% from 41.6% in 2020, a 900 basis point or **21.6% decline**, which was accompanied by an increase in the percent of total revenue represented by *Europe customers* of 33.8% to 47.4%, a 1360 basis point or **40.2% increase**. (C233.1-233.1.2.)<sup>33</sup> This sharp inversion in YM’s revenue mix in 2021 means that *customers in the U.S. went from being the largest in 2020* (780 basis points ahead of customers in Europe) *to being*

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<sup>33</sup> Table 6 of the McCown Report, which shows revenue by customer location from 2019 to 2022 converted into USD at the average foreign exchange rate in each year. (C233.1.)

*1480 basis points behind in 2021.* (C234.) (C235-235.1.)<sup>34</sup> Remarkably, these data show that in 2021, a year with unprecedented demand in the U.S.-transpacific market, *YM undertook what might well have been its biggest volume decrease in its history in that very market.* (C236-236.1.)<sup>35</sup> This dynamic can only be explained by YM purposefully reducing its effective capacity in the U.S.-transpacific market in 2021, primarily by shifting capacity from Asia-U.S. lanes to Asia-Europe lanes, even as it was pressuring its U.S. sales force to sign up ever more service contracts with U.S.-based BCOs. (C237.)

The geometric difference in YM's transpacific volume decline in 2021 (23.7%) compared to more modest volume declines by all of its alliance member partners (4.5% in one instance) further underscores YM's shift. (C238.). As for revenue, the story is the same: the McCown Report Table 8 shows that the *decline in YM's transpacific revenue* as a percentage of total revenue *was more than two and a half times* the average of its fellow alliance members. (C238.3.)

The effects of YM's policy were disastrous for its North American BCO customers, resulting in less capacity in the Asia-U.S. market at the very same time that YM was signing up DG and other BCOs to service contracts that it manifestly had no intention of complying with, and exacerbated the effects of YM's unreasonable practice of systematically transferring the space that DG and other BCOs had bargained for to NVOCCs. (C239-240.)

### **3. YM maintained an unreasonable policy of negotiating service contracts without intending to comply.**

Throughout the 2021 Shipping Year, YM never came close to meeting its service commitments under its 2021 Service Contract with DG. (*Supra* Arg.I.B-D.) By 2021, YM

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<sup>34</sup> McCown Report Table 7 also provides a percentage and resulting volume breakdown of YM's actual container volume by major business division from 2019 to 2022 showing a consistent decline in container volume to the U.S. during the pandemic. *YM's total container volume involving the United States decreased* from 1,537,000 TEUs in 2020 to 1,173,000 TEUs in 2021, a decline of 364,000 TEUs, or 23.7%. (C235.2.)

<sup>35</sup> The 23.7% decline in 2021 in YM's U.S.-related volume is almost twice its overall volume decline of 13.0%, and the polar opposite of the 7.4% increase in total industry volume reflected in McCown Report Table 3. (C236.2.)

undeniably was well aware of market dynamics and demand in the pandemic era—and, with all of that knowledge, YM committed itself to the 2021 Service Contract and, as discussed above, immediately resorted to flouting its commitments and selling space to the highest bidder. (*Supra* Arg.I.B, I.D.1-2.) The only reasonable inference is that YM did not negotiate the 2021 Service Contract in good faith, but rather with the intent to defraud DG into counting on YM to provide an agreed amount of fixed-price carriage that was critical to DG’s business. (C241-242.)

**4. YM’s policies of failing to meet its service commitments to its customers, preferring higher-priced freight over meeting its service commitments, and negotiating service contracts without intending to comply were unwarranted by any constraints outside of YM’s control.**

As the record conclusively establishes, YM’s policies discussed above were inconsistent with historical industry practice, not justified by any constraints outside of YM’s control, and the product of YM’s deliberate commercial choices (C243):

- **First**, YM’s own financial results demonstrate that its failures were driven by profit-seeking rather than capacity constraints. (C243.1-243.1.1.)
- **Second**, YM’s volume data refutes any capacity-based justification. (C243.2-243.2.1.)
- **Third**, YM’s own alliance partners’ performance shows YM’s performance was an outlier. (C243.3.)
- **Fourth**, YM was fully aware of its capacity constraints before entering into the 2021 Service Contract but chose to overcommit anyway. (C243.4.)

Such practices are inconsistent with industry practice and unreasonable, particularly in the context of YM’s failure to honor its service commitments to its customers, including DG.

**5. DG made *bona fide* and significant efforts to mitigate YM’s MQC shortfalls.**

DG acted in good faith to mitigate its damages from YM’s shortfalls. Prior to and during the 2021 Shipping Year, DG took extraordinary measures to reduce the damage attributable to YM’s actions, (C244-247.4), including staying in constant communication with YM as well as daily communications with DG’s origins teams, maintaining sufficient cargo volume, shifting

cargo among vendors when necessary, and rerouting shipments through alternative ports to avoid significant impediments to moving cargo to port, all in the midst of unprecedented pandemic conditions. (C248-249.) Notwithstanding DG’s efforts (*supra* Argument § I.D.1.i), YM failed to meet its service commitments to DG under the 2021 Service Contract, resulting in a shortfall of 1,610 FEUs, making it necessary for DG to use NVOCCs or ocean freight forwarders on lanes that were supposed to be covered by the 2021 Service Contract. (C250.)

**E. Count I, Element 5: YM’s practices and regulations are the proximate cause of the losses claimed by DG.**

As demonstrated above, (C251-253.1), YM was the proximate cause of the injuries complained of by DG. *See Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708, at \*80 n.75, (FMC June 7, 2001) (“[A] party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’”); *OJ Commerce, LLC*, 2024 WL 4034610, at \*21-23 (approving damages calculation on basis of detailed spreadsheet submitted by the Complainant reflecting actual shipments); *Adair v. Penn-Nordic Lines, Inc.*, FMC Dkt. No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 at \*23 (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”); *BBBY v. OOCL*, 2026 WL 1285696, at \*126 (OOCL’s practices proximately caused BBBY’s shortfall damages); *id.* (“OOCL’s reliance on an unreasonable space allocation system was the proximate cause of OOCL’s failure to transport the MQC”).

**II. Count II: Yang Ming’s Conduct Violated 46 U.S.C. § 41104(a)(2).**

46 U.S.C. Section 41104(a)(2) provides that common carriers may only provide ocean transportation services “in accordance with the rates, charges, classifications, rules and practices” in their service contract unless an exception applies. 46 U.S.C. § 41104(a)(2)(A); *Santa Fe*

*Discount Cruise Parking, Inc. v. Bd. of Trs. of the Galveston Wharves*, FMC Dkt. No. 14-06, 2021 WL 1575018 (FMC Apr. 16, 2021) (“The Shipping Act requires common carriers to abide by the terms of their published tariffs.”). A common carrier “[disregarding] service contracts in favor [of] higher-priced freight and attempting to coerce extra-contractual surcharges from [a service contract counterparty]” violates Section 41104(a)(2). *MCS Indus., Inc.*, 2022 WL 458569, at \*7; *see also BBY v. OOCL*, 2026 WL 1285696 at \*134-36 (Section 41104(a)(2) violation established where evidence showed carrier “utilizing an unreliable space allocation system to prioritize higher priced bookings over the previously contracted space and price agreements”). The parties do not assert that the service contract has been suspended or prohibited, so 46 U.S.C. Section 41102(a)(2)(B) does not apply. *MCS Indus., Inc.*, 2022 WL 458569, at \*7.

As discussed above, the 2021 Service Contract as originally agreed to by the parties required a minimum quantity commitment of 2,226 FEUs the 2021 Service Contract year. (*Supra* Introduction § II.) DG sought to use this full amount by diligently providing YM updated container forecasts and engaging third-party agents to handle bookings on its behalf. (*Supra* Introduction § I.C; Argument § I.D.1.i.) YM, however, failed to provide DG space equaling the MQC and ultimately only carried approximately 616 of the required FEUs during the 2021 Shipping Year. (*Supra* Argument §§ I.B-D.) YM’s systematic failure to meet its service commitments, not in accordance with the 2021 Service Contract, violated 46 U.S.C. Section 41104(a)(2). YM’s scheme resulted in DG incurring approximately \$14,772,355 in additional costs beyond the amounts agreed by the parties under the 2021 Service Contract. (C254-259.)

### **III. Count III: Yang Ming’s Conduct Violated 46 U.S.C. § 41104(a)(10).**

#### **A. Count III, Element 1: YM is an ocean common carrier.**

This element has been established. (C260-260.2; *supra* Introduction § I.B.)

**B. Count III, Element 2: YM refused to deal or negotiate with DG.**

**1. YM failed to accept bookings or make space available to fulfill its MQC service commitments to DG.**

YM's actions in failing to make reasonable accommodations to provide space to DG under the Service Contracts, failure to accurately track DG's booking attempts, and engaging in a scheme to withhold service by refusing to make reasonable accommodations to provide space to DG and other of its BCO customers, amount to an unlawful refusal to deal with DG in violation of 46 U.S.C. Section 41104(a)(10). (C261-262.) *See PKDC v. CMA*, FMC Dkt. No. 24-21, slip op. at 28-29 (ALJ Sept. 8, 2026) (carrier engaged in an unreasonable refusal to deal or negotiate when it declined to accept shipper's cargo in favor of better-paying cargo).

DG attempted to discuss these issues and secure carriage with YM to fulfill the 2021 Service Contract's MQC. (*Supra* Argument § I.D.1.iii) For example, in the first month of the 2021 Shipping Year, DG held a high-level meeting with YM on May 24, 2021, in which DG requested YM to make reasonable accommodations to provide DG space under the 2021 Service Contract. (*Supra id.* § I.D.1.iii.) DG continued to make substantially similar requests to YM throughout the 2021 Shipping Year. (*Supra id.*) YM denied DG's requests and continued its policy of maximizing profits at the expense of its customer base, as discussed above. (*Supra id.* § I.D.) YM had available cargo space but deliberately chose not to honor its commitments to DG. (*Supra id.* §§ I.B-D.)

**2. YM failed to negotiate reasonably for the 2022 Shipping Year.**

As demonstrated below, YM refused to engage in reasonable negotiations for the 2022 Shipping Year, manifested in YM's decision to punitively cut DG's MQC in the 2022 Service Contract by over 40% as compared to the 2021 Service Contract. (*Infra* Argument § VI.) YM's refusal constitutes a violation of 46 U.S.C. Section 4104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate. (C261, 263.) *See OJ Commerce, LLC*, 2024 WL 4034610, at \*34

(“The record supports the conclusion that OJC and HSDG would have agreed to an MQC of 400 FFE for this period”).

**C. Count III, Element 3: YM’s refusals were unreasonable.**

“Refusals to deal or negotiate are factually driven and determined on a case-by-case basis.” *OJ Commerce, LLC*, 2024 WL 4034610, at \*9. “[I]n determining reasonableness, [the FMC] will look to whether a marine terminal operator gave actual consideration to an entity’s efforts at negotiation.” *Canaveral Port Auth.-Possible Violations of Section 10(B)(10), Unreasonable Refusal to Deal or Negotiate*, FMC Dkt. No. 02-02, 2003 WL 723336, at \*18 (FMC Feb. 24, 2003); *see also BBY v. OOCL*, 2026 WL 1285696, at \*138 (citing *OJ Commerce* and *Canaveral*).

YM’s scheme of overcommitting its space commitments for the 2021 Shipping Year and withholding previously contracted cargo space to sell that space to the highest bidder was unreasonable, leading YM to a significant failure to meet its service commitments to DG and forcing DG to resort to the spot market for service on lanes that were supposed to be covered by its 2021 Service Contract with YM. (C264.) *See OJ Commerce, LLC*, 2024 WL 4034610, at \*10-11 (refusal to deal where evidence revealed that sufficient space was available during relevant period to meet MQC); *BBY v. OOCL*, 2026 WL 1285696, at \*139 (refusal to deal serves alternative basis to support finding violations of MQC shortfalls).

YM’s decision during its negotiations with DG for the 2022 Service Contract to punitively cut DG’s MQC in the 2022 Service Contract by over 40% as compared to the 2021 Service Contract was unreasonable. *OJ Commerce, LLC*, 2024 WL 4034610, at \*34 (“The record supports the conclusion that OJC and HSDG would have agreed to an MQC of 400 FFE for this period”).

**IV. Count IV: Yang Ming’s Conduct Violated 46 U.S.C. § 41104(a)(5).**

**A. Count IV, Element 1: YM is an ocean common carrier.**

This element has been established. (*Supra* Introduction I.B.)

**B. Count IV, Element 2: YM provided service pursuant to a service contract.**

YM provided service pursuant to a service contract. (*Supra* Argument § I.D.)

**C. Count IV, Element 3: YM engaged in unfair or unjustly discriminatory practices in the matter of rates or charges with respect to a port.**

**1. YM’s discriminatory practice arose directly out of a dispute over a port-specific charge.**

YM’s practice at issue in Count IV arose from—and was defined by—its dispute with DG over a charge specific to a single port: the dwell fee (the “Emergency Dwell Surcharge”) assessed on cargo at the Ports of Los Angeles/Long Beach (“LA/LB”). (C269.) DG took the position that the LA/LB Emergency Dwell Surcharge should be borne by YM rather than passed on to DG. (C270-271.1.) That dispute was facially “in the matter of rates or charges with respect to” a specific port. *See* 46 U.S.C. § 41104(a)(5).

**2. Rather than resolve the charge dispute on its merits, YM blocked DG’s bookings and diverted DG’s cargo away from the Ports of Los Angeles/Long Beach—and concealed the true reason behind a pretext it knew to be false.**

YM’s response to DG’s LA/LB Emergency Dwell Surcharge position was not to negotiate or resolve the dispute on its merits, but instead to retaliate by re-routing DG’s cargo. (C272; *infra* Argument § VI.) On March 24, 2022, Michael Wu told YM colleagues that YM had imposed a booking restriction on DG’s cargo because DG was “arguing that the LA/LB Emergency Dwell Surcharge should be absorbed by the shipping company . . . [t]o avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing”, and added that YM would “implement some level of monitoring” and was “not considering removing the restriction from the system.” (C272.1-272.2.) Accordingly, YM instituted its block on DG’s bookings in order to direct DG’s shipments away from LA/LB and to avoid disputes with DG as to the responsible party for any Emergency Dwell Surcharges that might have accrued on shipments to LA/LB, while

misleading DG by attributing the restriction to “congestion”, which YM knew was a pretextual excuse for the true, charge-driven reason for diverting DG’s cargo. (C273.)

**3. YM’s conduct was an unfair and unjustly discriminatory practice “with respect to” the Ports of Los Angeles/Long Beach.**

Section 41104(a)(5) requires that the discriminatory practice be “in the matter of rates or charges with respect to any port” and does not require DG to show discrimination as between different ports. *MCS Indus., Inc.*, 2022 WL 458569, at \*8 (“discrimination must be shown ‘with respect to any port,’ not between different ports”). YM’s practice satisfies that standard in both its origin and its operation. Its origin was a port-specific charge (the LA/LB Emergency Dwell Surcharge); and its operation was port-specific as well: in Wu’s own words, YM blocked DG’s bookings routed through LA/LB and compelled DG to change its routing to avoid that port. YM’s conduct thus operated on DG’s access to, and the charges associated with, a particular port: which cargo could move through LA/LB, on what terms, and at whose cost.

YM’s practice was also unfair and unjustly discriminatory. A carrier has latitude to differentiate among its service-contract customers, but it “may not do so in a manner that is undue or unreasonable.” *Id.* YM singled out DG for adverse treatment at LA/LB—blocking its bookings and forcing its cargo to alternative routing—because DG declined to absorb a port-specific charge that YM sought to shift onto it. YM then concealed that reason behind a “congestion” pretext that YM itself recognized to be false. A charge dispute is not a legitimate transportation-related reason to manipulate a customer’s port routing, and pretext is the antithesis of fair dealing. This element is therefore satisfied, and YM’s violation of section 41104(a)(5) is established. (C267-274.)

**V. Count V: Yang Ming’s Conduct Violated 46 U.S.C. § 41104(a)(9).**

**A. Count V, Element 1: YM is an ocean common carrier.**

This element has been established. (*Supra* Introduction I.B.)

**B. Count V, Element 2: YM provided service pursuant to a service contract.**

YM provided service pursuant to a service contract. (*Supra* Argument § I.D.)

**C. Count V, Element 3: YM imposed an undue and unreasonable prejudice or disadvantage regarding use or avoidance of a port to the detriment of DG.**

DG establishes this element through two independent and parallel showings. *First*, YM affirmatively blocked DG’s bookings in order to steer DG’s cargo away from specific ports—LA/LB—and to compel DG to change its routing to avoid those ports. *Second*, YM redirected its vessel capacity away from the Asia-U.S. trade, and the U.S. ports it served, toward other world regions, principally the Asia-Europe trade, to the disadvantage of DG’s use of those ports. While either showing independently establishes this element, both are established here. (C277-278.) This element is therefore satisfied, and YM’s violation of section 41104(a)(9) is established.

**1. YM blocked DG’s bookings in order to direct DG’s shipments away from the Ports of Los Angeles/Long Beach.**

As discussed herein, (*supra* Argument § IV.C; *infra id.* § VI), YM instituted a block on DG’s bookings “in order to direct [DG]’s shipments away from LA/LB and to avoid disputes with [DG] as to the responsible party for any dwell fees that might have accrued to shipments to that port.” (C279-279.2.) YM told DG that the restriction was the product of “congestion” at LA/LB; internally, YM acknowledged that “congestion” was a pretextual excuse and deliberately chose not to disclose its true reason. (C280-280.2.) The purpose and effect of YM’s conduct was to disadvantage DG in its use of LA/LB—manipulating DG’s shipments and compelling DG to route its cargo away from those ports—under a pretext that YM itself recognized to be false. (C281.)

That was undue and unreasonable. YM imposed that prejudice and disadvantage for a reason—DG’s refusal to absorb a port-specific charge that YM sought to shift onto it—having nothing to do with legitimate transportation factors, and maintained it deliberately with “monitoring” and no intention of removal. (C279.2.) YM also directed it at DG’s use of specific

ports: YM’s booking block operated on DG’s LA/LB routings and compelled DG to avoid those ports. YM’s conduct is thus “with respect to” a port within the meaning of section 41104(a)(9). *Cf. PKDC v. CMA*, 2024 WL 5229720, at \*2-3; *OJ Commerce, LLC*, 2022 WL 4017209, at \*4-6.

**2. YM redirected its vessel capacity away from the Asia-U.S. trade—and the U.S. ports DG used—toward the Asia-Europe trade.**

In parallel, and independently, as discussed above, YM imposed an undue and unreasonable prejudice and disadvantage on DG with respect to the U.S. ports DG used by redirecting its vessel capacity away from the Asia-U.S. trade and toward other world regions, principally the Asia-Europe trade. (C282; *supra* Argument § I.D.2.iii.) YM’s conduct fits squarely within the paradigm Congress identified when it enacted the current text of Section 41104(a)(9). The Senate Report explains that the provision reaches “a clear pattern of service contracting by a common carrier that imposes an unreasonable disadvantage on all shipments from a specific nation or region of a nation, including the United States.” S. Rep. No. 105-61, at 28 (1997), *as quoted in OJ Commerce, LLC*, 2022 WL 4017209, at \*4. That is precisely what YM did here: a deliberate, carrier-wide redirection of capacity away from the Asia-U.S. trade—and the U.S. ports served by that trade—that disadvantaged shipments to the U.S. as a region, at the very time YM was signing U.S.-based shippers, including DG, to service contracts it did not intend to honor. Thus, YM’s conduct targeted a specific locality: U.S. ports and trade lanes as a whole. *Cf. PKDC v. CMA*, 2024 WL 5229720, at \*3.

**VI. Count VI: Yang Ming’s Conduct Violated the Former 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d)).**

**A. Count VI, Element 1: DG is a shipper.**

DG is a shipper. (C283-283.2.) The FMC has clarified that “shipper” is defined broadly for purpose of retaliation. *See Retaliation Statement*, 2021 WL 9204128, at \*4 (term “shipper” “means [*inter alia*] a cargo owner, the person for whose account the ocean transportation of cargo is

provided, the person to whom delivery is to be made . . .”). DG easily meets this standard. *See BBY v. OOCL*, 2026 WL 1285696, at \*142, ¶¶ 3-4, 29-30, 47-51 (shipper element established).

**B. Count VI, Element 2: DG engaged in protected activity.**

DG engaged in a “protected activity” under the former Section 41104(a)(3), (C284-284.2), which identifies three categories of protected activity: filing a complaint, patronizing another carrier, or, broadly, “for any other reason”. The FMC is explicit that the “any other reason” category must be interpreted broadly: “The Commission interprets ‘any other reason’ to mean that protected activity under § 41104(a)(3) includes other ways that shipper may bring allegations of unlawful activity to the Commission, *such as participating in Commission investigatory or enforcement efforts* . . . This interpretation is consistent with congressional intent as set forth in the Alexander Report and with the important role shippers serve in assisting the Commission with its mission.” Retaliation Statement, 2021 WL 9204128, at \*5; *accord Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 24-17, 2024 WL 4893409, at \*10 (November 18, 2024) (former 46 U.S.C. Section 41104(a)(3) protects a shipper’s “intention to engage with the Commission to resolve a dispute”). A shipper need not engage in the enumerated forms of protected activity, moreover, as long as that activity is “closely related to the listed violations”: “threats to engage in protected activity” are enough because such activity “serve[s] in assisting the Commission with its mission.” *20230930-DK-Butterfly-1, Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 23-12, 2024 WL 1299768, at \*5-6 (March 25, 2024) (Order Granting Respondent’s Partial Motion to Dismiss) (discussing Retaliation Statement and *OJ Commerce*). Protecting threats, including implicit ones, to engage in protected activity, such as filing a complaint with the FMC, makes eminent sense because doing so serves to put carriers “on notice” and to provide carriers “an opportunity to resolve [the shippers’ claims] before more formal litigation.” *BBY v. OOCL*, 2026 WL 1285696, at \*147 (citing *OJ Commerce, LLC*,

2024 WL 4034610, at \*17, \*19); *see also Samsung Electronics*, 2024 WL 4893409, at \*10 (“protections of the anti-retaliation provision” are designed to “encourage early discussion and resolution of alleged [Shipping Act] violations.”). This purpose would obviously be frustrated if shippers must be certain of success in a filed litigation before raising issues with a carrier.

For example, in *OJ Commerce*, the Presiding Officer found that threats to file a complaint with the FMC are part of the “any other reason” category:

Ideally, parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation. These conversations may be limited if “threats” to file a complaint are not included in the anti-retaliation provisions as shippers may hesitate to raise issues without the protection of the anti-retaliation provision.

*OJ Commerce, LLC*, 2023 WL 3969857, at \*39.<sup>36</sup> The FMC affirmed “the ALJ’s finding that [the complainant]’s *notice of intention* to file a case with the Commission *is protected* by the Commission’s prohibition on retaliation ‘*for any other reason*’.” *OJ Commerce, LLC*, 2024 WL 4034610, at \*16.

Similarly, in *BBBY v. OOCL*, the Presiding Officer found that two letters sent by a shipper to a carrier concerning detention and demurrage practices constituted protected activity because they included implicit threats to file a complaint with the FMC. 2026 WL 1285696, at \*143-48. The shipper’s letters put the carrier “on notice” and were interpreted by the carrier as threatening litigation before the FMC. *Id.* at \*144-45. In doing so, the Presiding Officer emphatically rejected the carrier’s argument for a narrow interpretation of “or for any other reason”, *id.* at \*143, and found that the FMC did not set explicit threats as the “outer bound” of protected conduct, that “*the*

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<sup>36</sup> The Presiding Officer there relied in part on the FMC’s Retaliation Statement to find: “The statutory language, by including the phrase ‘or for any other reason’ explicitly applies this section beyond cases where the shipper has patronized another carrier or has filed a complaint . . . [to include] . . . the threat to file a complaint with the Commission. . . . It is reasonable to anticipate that threats of prohibited conduct would be encompassed under the ‘for any other reason’ language, and so finding is consistent with the Commission’s Policy Statement regarding interpreting the anti-retaliation provision broadly.” *OJ Commerce, LLC*, 2023 WL 3969857, at \*38.

*express language of the statute – ‘for any other reason’ – does not suggest that Congress intended to limit retaliation claims based on the complainant’s conduct*”, and that a shipper’s “*implicit threat*” constituted protected conduct where *the carrier* “*clearly . . . interpreted the letter as a threat*” such that the threat “served essentially the same purpose as enlisting CADRS, *by putting [the carrier] on notice* of [the shipper’s] claims and *providing an opportunity to resolve them before more formal litigation.*” *Id.* at \*145-47 (citations omitted). Thus, citing evidence that the carrier interpreted the shipper’s letters as threats to report it “to the authorities” (*i.e.*, the FMC) and drawing on *OJ Commerce* and the FMC’s Retaliation Statement, the Presiding Officer in *BBBY v. OOCL* found these challenges were at least *implicit threats that could be reasonably inferred from the carrier’s behavior* and fit within the “for any other reason” category of protected activity. *Id.* at \*146-47.<sup>37</sup>

Understandably, regulatory anti-retaliation provisions are consistently interpreted to protect the full range of activities that could lead to formal enforcement, not just the filing of formal complaints. This common interpretation protects preliminary steps that may ultimately lead to formal action, thereby furthering the statutory scheme’s enforcement goals. The FMC’s interpretation of the former 46 U.S.C. Section 41104(a)(3)’s “any other reason” language to protect informal complaint resolution follows this well-established pattern of interpretation and furthers

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<sup>37</sup> These decisions and interpretations are widely in line with the federal courts, which have consistently interpreted anti-retaliation provisions across various regulatory regimes to protect informal and preliminary steps that further statutory enforcement goals, not just formal complaints. *See, e.g., NLRB v. Washington Aluminum Co.*, 370 U.S. 9, 14 (1962) (“[w]e cannot agree that employees necessarily lose their right to engage in concerted activities under s 7 merely because they do not present a specific demand upon their employer to remedy a condition they find objectionable”); *Crawford v. Metropolitan Government of Nashville*, 555 U.S. 271, 279 (2009) (“[i]f it were clear law that an employee who reported discrimination in answering an employer’s questions could be penalized with no remedy, prudent employees would have a good reason to keep quiet about Title VII offenses against themselves or against others.”); *Rhinehimer v. U.S. Bancorp Invs., Inc.*, 787 F.3d 797, 805 (6th Cir. 2015) (protected activity “includes ‘any lawful act done by the employee’ to provide information to a supervisor [] regarding” unlawful conduct); *Kasten v. Saint-Gobain*, 563 U.S. 1, 9–10 (2011) (“[f]ilings may more often be made in writing... [b]ut we are interested in the filing of ‘any complaint.’ So even if the word ‘filed’, considered alone, might suggest a narrow interpretation limited to writings, the phrase ‘any complaint’ suggests a broad interpretation that would include an oral complaint.”).

the congressional intent of protecting shippers. *See Am. Civil Liberties Union Immigrants' Rights Project v. United States*, 58 F.4th 643, 657 (2d Cir. 2023) (“More to the point, ***the statutory use of the word ‘any’ has long signaled Congress's intent to sweep broadly*** to reach all varieties of the item referenced”); *Republic of Iraq v. Beaty*, 556 U.S. 848, 856 (2009) (“the word ‘any’ . . . has an ‘expansive meaning’, giving us no warrant to limit the class . . .”) (internal citations omitted).

As discussed above and further below, like the shippers in *OJ Commerce* and *BBBY v. OOCL*, ***DG put YM on notice of possible legal action before the FMC by making direct complaints to YM raising YM’s service failures under the 2021 Service Contract*** as early as May 2021, including in December 2021 by disputing YM’s attempts to pass on an LA/LB Emergency Dwell Surcharge, holding numerous meetings with YM to further emphasize DG’s concerns and attempt to convince YM to address them, and ultimately did file a formal complaint with the FMC. As a direct, explicit consequence, just like the carrier interpreted the shipper’s threats in *BBBY v. OOCL* as “threatening”, ***YM interpreted DG’s complaints as giving rise to regulatory and legal risk***, which led YM to label DG as a “top complaining” customer presenting legal risk and to act on that designation by freezing DG out of space under the 2021 Service Contract, including through deliberately concealed blocks on DG’s attempts to book space with YM, and unreasonably cutting YM’s MQC offer in the 2022 Service Contract in order to reduce its exposure to Commission oversight. DG’s complaints are thus analogous to the inferred “implicit” threats in *BBBY v. OOCL*, consistent with the FMC’s policy of interpreting the anti-retaliation provisions of the Shipping Act broadly, and constitute “protected activity” under those provisions. *See OJ Commerce, LLC*, 2023 WL 3969857, at \*38 (retaliation finding “consistent with the Commission’s Policy Statement regarding interpreting the anti-retaliation provision broadly”).

As a matter of common sense and public policy, any anti-retaliation provision must be read broadly to protect preliminary steps in order to have any effect, at all. To hold YM harmless for any retaliation that YM undertook at any stage in that process—whether the retaliation took place between DG’s initial complaints, formal meetings, legal disputes, or any other communication by DG putting YM on notice, or between those activities and the filed complaint—would have the perverse effect of encouraging carriers to *retaliate fast and hard* at the earliest sign of discontent from a customer, in order to inflict maximum injury before the customer has a chance to file a formal complaint—*exactly what YM did to DG here*. That outcome would be completely at odds with the purpose of the anti-retaliation provision, which seeks to prevent, not encourage, retaliation.

Under this well-established and well-informed regulatory framework, (i) DG’s complaints to YM throughout the 2021 Shipping Year, from at least as early as the May 24, 2021 high-level meeting between DG and YM management personnel, *supra* Argument § I.D, and (ii) DG’s dispute of certain dwell fees, like the LA/LB Emergency Dwell Surcharge, each constitute separate and independent protected activities under the former Section 41104(a)(3).

**1. DG engaged in “protected activity” by (i) taking issue with YM’s service failures and (ii) disputing certain dwell fees that YM sought to pass on to DG.**

As detailed above, YM entered the 2021 Shipping Year without ever intending to fulfill its service commitments to its BCO customers under their service contracts, including DG, and misleading its customers as part of YM’s unreasonable and unjust profit maximization policy. (*Supra* Argument § I.D.1.ii.) Then, when DG and other of YM’s BCO customers inevitably complained, YM responded by further misleading its customers by showing them much more positive forecasts than YM’s own internal assessments and promising customers the situation would improve. (C144-144.2, 173.) Both at the May 24, 2021 high-level DG-YM meeting, in which the bulk of YM TPEB management were present and could “assess” DG first-hand, (C172),

as well as in follow-up communications, DG made clear that it was not convinced by YM's Panglossian outlook and instead would hold YM to its service commitments. (*Supra* Argument § I.D.1.iii.a.) Thus, starting at least as early as the May 2021 DG-YM meeting, and continuing through the 2021 Shipping Year, DG had put YM on notice that DG believed YM was failing its service commitments under the 2021 Service Contract, which YM's behavior shows it "assessed" as exposing it to regulatory risk before the FMC. (C285; *supra* Argument § I.D.1.iii.)

**i. DG's complaints regarding YM's service failures were "protected activity".**

As discussed above, on May 26, 2021, following the May 24, 2021 high-level meeting between DG and YM, Sanjay Mishra of DG emphasized in his follow-up email that "*[i]t is very critical for DG to get support from Yang Ming*", and flagged that "*Dollar General is very concerned that Yang Ming is not meeting its contractual allocation to accept our cargo*", and that DG "*made a good faith agreement at a rate much higher than previous year contract with the anticipation that YML with respects [sic] it's end of its commitment.*" (C285.1.) That language directly echoes the protected activity in *BBBY v. OOCL*, where the challenges involved were not explicit threats of legal action; indeed, the letters' author testified that he did not personally intend the letters to threaten anything but was "*calling out something that was of grave concern*". 2026 WL 1285696, at \*144-46.

As also discussed above, throughout the rest of summer 2021 and the 2021 Shipping Year, DG continued to complain to YM and hold meetings with YM to convince YM to correct its failures. (C285.2; C191 (June 14, 2021 request by DG that YM provide biweekly reports illustrating current allocated space usage); C198 (August 25, 2021 DG email to YM stating that, "*you guys have cost me nearly \$8M this contract year already* by not fulfilling your run rate"); *supra* Argument § I.D.1.iii.b-c.)

Based on these and other complaints, YM employees internally treated DG's complaints as a problem by flagging DG as one of "our TPEB customers that seem to complain the most", (C192), with one YM salesperson stating in October 2021 that "DG can be difficult at times". (C286.) How YM management chose to address that "difficulty" is discussed further below.

**ii. DG's dispute of certain dwell fees that YM sought to pass on to DG was "protected activity".**

On December 29, 2021, DG's Chelsea Morris sent YM employee Jim Nickels an email with the subject line "*Emergency Dwell Surcharge*", (C287), and stated on behalf of DG: "*I'm reaching out today to get [YM]'s official stance in writing on the 'Emergency Dwell Surcharge' being imposed by [LA/LB] . . . Below is an explanation of why we believe these charges are non-applicable.*

- The contract relationship is between your company and Dollar General. *This is filed with the FMC.* We do not have a contract relationship with your subcontractors. *Doing this would be both in breach of contract, and would supersede the FMC filing.*
- Terminals are not being government mandated to impose this charge. *There is some debate over whether the executive branch can override the FMC, but it is clear that the terminals cannot override the FMC.*
- As such, if they are not mandated and this is not a charge that they are being charged that they're trying to recoup, we should not be held liable for this expense.
- If you read the contract it covers very clearly the agreement. There can be no assignment and subcontracting of our rights/liabilities without prior written consent of Dollar General and rates are all inclusive.

*Please confirm with your company's stance.*" (C287.1.)<sup>38</sup> In response, YM's Jim Nickels wrote that Morris's email was "being reviewed by our corporate management" and that YM would

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<sup>38</sup> Morris's request for YM's "official stance" on the surcharge indicates it followed a period of broader discussions between the parties. YM's internal emails indicate that it instituted a block on DG's bookings through LA/LB, discussed further below, as early as **October 12, 2021** and thus was in place for over half the 2021 Shipping Year. (C300.1.3.)

“respond accordingly”. (C287.2.) DG’s communication to YM constitutes a “protected activity” under the former Section 41104(a)(3).

In Morris’s December 29, 2021 email, DG explicitly challenged YM’s practice of passing on the LA/LB Emergency Dwell Surcharge as violating FMC regulations, including by setting forth a bullet list of the bases for DG’s official legal position on the matter, which clearly invokes Commissioner (then-Chairman) Maffei’s interpretation of the former Section 41104(a)(3)’s “for any other reason clause” as being “clear that it is absolutely illegal for ocean carriers to [] retaliate against a shipper for [] **challenging a charge**,” because Morris’s email does precisely that. FMC Probes Shipping Lines’ Compliance with Anti-Retaliation Rules, *The Maritime Executive* (December 15, 2022), <https://maritime-executive.com/article/fmc-probes-shipping-lines-compliance-with-anti-retaliation-rules> (“Maffei Statement”), *BBBY v. OOCL*, FMC Dkt. No. 23-02, Doc. No. 99 at 5023-5028. Moreover, as discussed below, both DG and YM understood Morris’s email as a potential precursor to more formal legal action, which the former 46 U.S.C. Section 41104(a)(3)’s “for any other reason” clause encompasses and protects. *OJ Commerce, LLC*, 2023 WL 3969857, at \*39 (“parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation.”). Analogously, in *BBBY v. OOCL*, the Presiding Officer there confirmed that the shipper’s “implicit” threats to report the respondent carrier to the FMC for its detention and demurrage practices constituted protected activity. 2026 WL 1285696, at \*147-48. Notably, while there was no underlying finding of unreasonable detention and demurrages practices on the part of the carrier, that did not preclude a retaliation finding based on the carrier’s conduct with respect to those practices. *Id.* at \*176. As *BBBY v. OOCL* demonstrates, “protected” status under the Shipping Act does not hinge on whether the shipper’s complaint that

triggered the retaliation is found to be “valid”, and instead focuses on whether such a complaint serves to put the carrier “on notice” that the shipper considers the carrier’s activity to potentially give rise to Shipping Act violations. *Id.* at \*147 (citing *OJ Commerce, LLC*, 2024 WL 4034610, at \*19).

Morris’s December 29, 2021 email to YM, which reflects a shipper’s explicit complaint that charges were out of line with FMC guidance and inapplicable to it, clearly constitutes a “protected activity” under that standard.

**2. YM’s employees understood DG’s complaints and dispute of the LA/LB Emergency Dwell Surcharge as threats to file a complaint with the FMC.**

DG’s complaints and dispute of the LA/LB Emergency Dwell Surcharge constitute “protected activity” under the former 46 U.S.C. Section 41104(a)(3) as demonstrated by YM’s interpretation of those complaints as threats to file a complaint with the FMC. (C288.)

A carrier’s interpretation of customer complaints as threatening legal/regulatory action is a key indication the “protected activity” element is likely met. *See BBY v. OOCL*, 2026 WL 1285696, at \*144-47. For example, in *BBY v. OOCL*, the Presiding Officer laid out the carrier’s reaction to a complaint in detail, including the carrier’s employees’ internal outrage at the complaint, *id.* at \*144-45 (“ “Typical retailer in denial . . . Act completely out of control in terms of planning and then bully your vendors to suck up the problems & all the costs!! Then *report you to the authorities* when you don’t bow down?!”) (emphasis in original), and later testimony that those employees viewed the complaint as “threatening in terms of that they might try to create some legal case based on this” and “[a]pparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment.” *Id.* at \*145. The carrier’s *reactions* to the complaint at issue thus “clearly show[ed] that they interpreted the letter as a threat” and were dispositive to the Presiding Officer’s finding that the shipper’s

complaint constituted “protected activity”. *Id.* at \*147 (“*[T]he reaction by OOCL to the letter clearly shows that they interpreted the letter as a threat . . . It is clear from the facts developed here that BBY raised the possibility of a Shipping Act violation and that OOCL interpreted the letter as threatening to report OOCL ‘to the authorities,’ . . . This conduct . . . fits within the ‘for any other reason’ language*”) (citations omitted).

Similarly, YM internally interpreted DG’s complaints throughout the 2021 Shipping Year as raising the threat of legal risk. As to the May 24, 2021 high level DG-YM meeting, YM’s Jim Nickels testified that he interpreted DG’s Sanjay Mishra’s May 26, 2021 email as an assertion that *YM was “not meeting our obligations, and he’s just making an effort to let us know that . . . he expects us to uphold our end of the commitment.”* (C289.) The YM personnel with responsibility over DG’s account were also aware that by June 2021, DG had become fed up with YM’s failure to meet its service commitments. (C290.) Indeed, on June 15, 2021, YM employees internally flagged DG as one of “our TPEB customers that seem to complain the most” along with 18 other customer accounts.

*The very next day, YM’s top TPEB management personnel directed the team responsible for DG to refuse space to DG.* On June 16, 2021, Rolly Chien (Department Head of Americas Business team for YM’s Commercial Transpacific Department) stated in an email that included Brian Chen and Winston Yeh: “When each team reviews space allocation, please keep the following principles in mind: 1) *Customers whose space has already been increased to a reasonable ratio should not be given additional space.* . . . 3) This remains subject to each team’s professional judgment of the customer’s importance and *assessment of whether the matter has escalated to a legal issue* . . . .” (C292.)<sup>39</sup> Chien’s email explicitly included DG in the “SATL”

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<sup>39</sup> Chien, Chen, and Yeh all participated in the May 24 meeting with DG.

column of a chart identifying YM’s “TPEB most complaining customers”, and, taken as a whole, including Chien’s directives in that same email, establishes YM instituted a retaliatory policy of refusing to allocate space to DG because DG complained to YM that YM was not allocating space to DG under the 2021 Service Contract, which led YM to identify DG as a legal threat (“issue”). (C292-292.2.)

YM immediately began implementing the policy announced by Chien and would maintain it throughout the 2021 Shipping Year and beyond. (C292.3-292.4.6.) On June 25, just nine days after Chien’s policy announcement, YM sales employee Chris Cobb was reporting to DG that “Jim [Nickels] / Mike [Collins] and myself are pushing every day to get this to the level you have requested”, (C292.3.1), but that help purposefully never arrived. A few days later, Collins observed internally to his sales team that *DG’s allocation situation “certainly doesn’t look to be getting any better”*. (C292.3.2.) DG’s account representative agreed: “*No, we are giving them zippo. We are giving my smaller accounts more.*” (C292.3.3.) Whether or not YM’s *sales* was aware, YM *management’s* failures to allocate DG space were a direct manifestation of its retaliatory policy against DG.<sup>40</sup>

Thereafter and throughout the 2021 Shipping Year, YM routinely identified DG as a “top” risk of seeking relief from regulatory authorities, including the FMC, as YM continued to refuse reasonable space allocations to DG. (C292.4.) For example, during the remainder of summer 2021, YM sales regularly reported DG’s frustration with YM, with Jim Nickels couching YM’s performance in terms that reflected YM’s retaliatory policy in an email dated August 25, 2021: “*We punished them enough with the 8 million freight loss!*” (C292.4.1-292.4.1.3.1.) In October

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<sup>40</sup> YM’s decision to refuse space to DG contradicted YM’s own internal policy announced in April 2021, which purportedly prioritized BCO customers with MQCs above 350 FEUs. (C78, 143.) The 2021 Service Contract’s 2,226 FEU MQC is more than *six times* that cutoff.

2021, Nickels commented that “DG can be difficult at times”, (C292.4.2.), an assessment YM’s TPEB management team shared in a December 6, 2021 email that included DG among YM’s “*key customers to track*” as part of management’s effort “*to protect YM’s best interest, just in case something [sic] argument in the future*” as YM’s sales department warned of legal risks from those same customers. (C292.4.3-4.) On January 3, 2021, citing “BCO space complaint” as “a serious issue now”, Brian Chen included DG among such examples that had “*attracted a lot of attention from regulatory authority*” (i.e., as Chen testified, *the FMC*). (C292.4.6.) On January 11, 2021, Chen sent a directive to his TPEB colleagues, including Michael Wu: “Friendly reminder: There are fewer than four months left before the contract ends. Please make full use of the time before the contract ends to increase volume as much as possible for *customers with potential legal risks, to avoid customer complaints.*”<sup>41</sup> (C292.4.7.) Chen’s email included DG on a list of such YM customers and reflected that YM’s prorated MQC performance for DG at that time was *only 22%*. (C292.4.5.1.) By March 15, 2022, YM’s internal reports confirmed DG was still among the “*Top 25 BCO with lifting behind MQC*”, with *DG at the very top of that list*. (C292.4.8.)

*Second*, YM also reacted to DG’s dispute of the LA/LB Emergency Dwell Surcharge as raising the threat of legal risk. On March 24, 2022, YM’s Michael Wu wrote internally to YM colleagues explaining that, “*for internal reference only and should not be disclosed to the client,*” a booking restriction had been placed on DG in YM’s booking system “*because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company.*” (C293-293.1.)

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<sup>41</sup> In *BBBY v. OOCL*, the Presiding Officer held that, when a carrier suddenly offers a large volume of space late in a contract year after systematically falling short throughout the year, such an “offer of space [is] not made in good faith” and does not cure a carrier’s failure to honor its service commitments. 2026 WL 1285696, at \*117.

**C. Count VI, Element 3: YM is an ocean common carrier.**

This element has been established. (C294-294.2; *supra* Introduction § I.B.)

**D. Count VI, Element 4: YM engaged in prohibited conduct.**

The former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d), prohibits a common carrier from “refusing, or threatening to refuse, cargo space accommodations when available,” or resorting “to other unfair or unjustly discriminatory methods.” 46 U.S.C. § 41104(a)(3); *see also* Retaliation Statement, 2021 WL 9204128, at \*1 (the FMC “will interpret 46 U.S.C. § 41104(A)(3)—the anti-retaliation provision—broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.”); Maffei Statement, *BBBY v. OOCL*, FMC Dkt. No. 23-02, Doc. No. 99 at 5023-5028 (OSRA “made it clear that it is absolutely illegal for ocean carriers to discriminate or retaliate against a shipper for filing a complaint *or challenging a charge*. . . . *Even a simple verbal threat to a shipper from an ocean carrier employee could undermine U.S. law and will not be tolerated.*”).

In *BBBY v. OOCL*, the carrier engaged in prohibited retaliatory conduct when it responded to the customer’s complaints by (1) suppressing space allocation to the shipper en route to failing its service commitments to the shipper, 2026 WL 1285696, at \*147-49, and (2) targeting the customer for “deselection” (*i.e.*, not actively engaging in contract renewal in order to give effect to the carrier’s “desire to move away from” the shipper) through offering (a) a reduced MQC for the upcoming year’s contract and (b) significantly higher rates than those offered to other shippers. *Id.* at \*150-53. Ultimately, *the carrier reduced the cargo volume offered to the shipper by seventeen percent* and offered intentionally above-market rates to convince the shipper not to ship with them, which supported a finding of unlawful retaliation. *Id.* at \*149-54.

Internal documents show that where YM sought to maintain customer relationships, it did so, and where it sought to freeze out customers, it did so, as well. (C296-297 (“*Customers whose space has already been increased to a reasonable ratio should not be given additional space* [subject to an] *assessment of whether the matter has escalated to a legal issue.*”).) As discussed below, for substantially the same reasons as the carrier in *BBBY v. OOCL*, YM purposefully suppressed space allocation to DG throughout the 2021 Shipping Year and *reduced its MQC offer to DG in the 2022 Service Contract by 40 percent* (more than *two times* the retaliatory reduction found in *BBBY v. OOCL*) in order to limit the litigation risk that YM had identified DG presented based on DG confronting YM on YM’s service failures under the 2021 Service Contract and other unreasonable practices, like YM’s imposition of charges such as the LA/LB Emergency Dwell Surcharge. Brian Chen stated YM’s policy succinctly: “*To reduce risk or lawsuits, if customers/sales staff complain about insufficient capacity MQC, please ensure it is handled properly . . . We can increase capacity/allocated capacity at our discretion.*” (C297.1.) The evidence overwhelmingly establishes that YM exercised its “discretion” to retaliate against DG.

**1. YM retaliated against DG by deliberately refusing to allocate space to DG while falsely claiming it was due to congestion and COVID-19-related issues.**

Following the May 24, 2021 DG-YM high-level meeting, YM immediately began limiting space to DG. (C298.) Although June was a vital month for DG, on May 31, 2021, Jim Nickels warned Michael Wu that, “*We are greatly damaging our relationship with this new account. All carriers are having problems but YM is performing very poorly for DG.*” (C298.1.) As discussed, YM’s TPEB management (who had been present at the May 2021 meeting and copied on follow-up emails with DG) agreed with Nickels assessment, saw firsthand that DG took YM’s service

failures seriously, and immediately proceeded to limit space allocations to DG, a policy YM maintained throughout the 2021 Shipping Year. (C297-300; *supra* Argument § I.D.1.iii.)<sup>42</sup>

Shockingly, YM also chose to effectuate its deliberate, worsening performance in part by implementing hidden blocks on DG's bookings while blaming that deliberately fraudulent policy of refusal "on congestion". Regarding DG's dispute of the LA/LB Emergency Dwell Surcharge, on March 24, 2022, Michael Wu stated (originally in Mandarin) internally to other of his YM colleagues the following verbatim:

***The following supplement is for internal reference only and should not be disclosed to the client.***

The reason for the restriction at the time was actually because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company. ***To avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.***

Since we have received no further updates from the client after rejecting their statement, and given the delay in the effective date of the fee, we can consider releasing some bookings to the client. However, ***we would like to implement some level of monitoring; therefore we are not considering removing the restriction from the system.*** (C300.)

This scheme was approved by YM's TPEB management, as Wu testified: ***"I represent the U.S. business department . . . when we will email to the big group, before I did that, I would discuss it with my supervisor. So it cannot be said that it only represents myself, an individual here."*** (C300.1.2.) YM used "congestion" and other related factors stemming from the COVID-19 pandemic as cover for its profit-seeking actions and motives throughout the 2021 Shipping Year as to DG and other of its shipping customers whenever it suited YM to do so. (C300.6.)

YM's deceitful manipulation of its booking system, taken directly in response to DG's dispute of the LA/LB Emergency Dwell Surcharge and diligent pursuit of holding YM to a

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<sup>42</sup> Indeed, following YM management's annual review process in late 2021 and early 2022 where it designated DG as a ***"key customer to track"***, ***YM's performance under DG's 2021 Service Contract grew worse.*** (C292.4.3; 299.1.)

reasonable standard of performance, speaks to a systemic internal policy of retaliation in which YM purposefully failed to meet its service commitments to DG, tracked the resulting legal risk, and refused to carry DG's cargo by any means necessary, including lying directly to DG. (C300-300.6.) That systemic retaliation (which YM euphemistically referred to as "monitoring") targeted DG, as exemplified by YM adding DG to its "**Top 25**" *complaining customers* list and consequent refusal of reasonable service to DG throughout the 2021 Shipping Year. (C301.)

**2. YM retaliated against DG by discriminatorily reducing DG's MQC as a precondition to entering into a service contract for the 2022 Shipping Year.**

As a Top 25 complainer, YM's system identified DG for further retaliatory conduct beyond the 2021 Shipping Year. In addition to freezing out DG's cargo throughout the 2021 Shipping Year, YM targeted DG for an MQC reduction of over 40% in the parties' 2022 Service Contract (1,321 FEUs) as compared to the 2021 Service Contract (2,226 FEUs). (C302; *see BBBY v. OOCL*, 2026 WL 1285696 at \*150-53, 173 (retaliation established where record showed respondent carrier was "influenced" by a "desire to move away from working with" complainant shipper, which desire was "motivated by a concern that [the shipper] might file an FMC complaint", and aimed at "reducing the volume offered" to the shipper).)

Following meetings in early November 2021, YM's TPEB management decided to reduce its total space allocations in the 2022 Shipping Year by approximately 25%. (C303.) On one level, internally and in communications with its customers, YM acknowledged that its proposed 25% cut was due to the fact that YM had overcommitted space for the 2021 Shipping Year. (C304.) On another, deeper level, in the first week of December 2021, YM internal discussions showed that YM planned to use its broader MQC reduction policy as a *tool to selectively target for even larger disproportionate cuts* customers who YM had identified as presenting legal risk:

*Major concern is whether we can accommodate space for these accounts signed, instead of having same Problem with complaints. . . .* While the total MQC is

reduced by 25%, *we will need to review and retain customers on a more selective basis* to diversify a/c base and *taken into consideration of our long term strategy/developments*. (C305-305.1.)

On December 9, 2021, Michael Wu explained YM’s policy clearly for YM’s SAT region sales team to implement: “*We plan to cut MQC from accounts which we consider is [sic] difficult to deal . . . to leave some room for others.*” (C306.) To do so, Wu listed the customers YM had identified as “top complainers” (*i.e.*, those YM assessed presented the greatest legal risk) for even larger MQC cuts. (C306.1) YM targeted DG for the largest cuts: the parties’ upcoming 2022 Service Contract ultimately reflected a *MQC cut of 40%*. (C306.2-306.4.)<sup>43</sup>

As a result, on December 1, 2021, YM began the 2022 Service Contract negotiations with DG with an MQC offer of just 1,400 FEUs, or almost 40% of the 2021 Service Contract’s 2,226 FEU MQC. (C307-307.2.) Throughout the negotiations, despite DG’s requests for more space and agreement to adjust the 2022 Service Contract to meet most of the other terms YM requested, YM remained intransigent, as DG’s Chelsea Morris observed during the course of negotiations: “*We are agreeing to everything you requested . . . So zero willingness to agree on any terms we are asking for, despite us coming to the table on a large amount of items? . . . Hardly feels like a partnership.*” (C307.3.) In fact, *YM even lowered its initial 1,400 MQC offer*, as the *2022 Service Contract reflected an MQC of just 1,321 FEUs*. (C41-41.4, 307.4-307.5.)

YM’s negotiation of the 2022 Service Contract was motivated by YM’s reaction to DG’s protected conduct, and caused DG to incur substantial lost profits, as discussed below. *See BBY v. OOCL*, 2026 WL 1285696 at \*150-53, 173 (record showed respondent carrier “internally discussed a 17% reduction” and “supports finding the 2022-23 reduction was due to retaliation.”)

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<sup>43</sup> Wu testified that YM targeted these customers as because the relationship was “overwhelmingly not beneficial to [YM] . . . And, therefore, for these customers, we may consider reducing collaboration with them.” (C306.3.) This language fits exactly with previous findings of retaliation. *See BBY v. OOCL*, 2026 WL 1285696 at \*150-53, 173.

### 3. There is no lawful justification for YM’s retaliation against DG.

There is no justification for YM’s retaliatory policies and actions. YM’s failures to fulfill its service commitments to DG under the 2021 Service Contract or negotiate the 2022 Service Contract in good faith were not accidental or contingent on any factors beyond YM’s control. Rather, YM internally discussed complaints from DG that they considered “threatening” FMC action when deciding on services to offer DG, and deliberately prioritized “monitoring” (*i.e.*, retaliating against) that perceived threat in its decisions as to (1) the level of service it provided DG for the 2021 Service Year and (2) the terms it offered DG for the 2022 Service Contract.

## VII. Reparations

The following sections provide for each Count the amounts of reparations owed to DG by YM, as summarized in the following table (C308):

**Table 1:**

| <b>Count (Reparation Type):</b>                                          | <b>Reparations Amounts:</b>             |
|--------------------------------------------------------------------------|-----------------------------------------|
| <b>Count I: MQC Shortfalls (2021 Service Contract)</b>                   | \$14,772,355                            |
| <b>Count II: Conduct not in accordance with Service Contracts</b>        | (Additional basis for Counts I damages) |
| <b>Count III: Refusal to Deal</b>                                        | (Additional basis for Counts I damages) |
| <b>Count IV: Discrimination</b>                                          | (Additional basis for Counts I damages) |
| <b>Count V: Discrimination</b>                                           | (Additional basis for Counts I damages) |
| <b>Count VI: Retaliation</b><br>Doubles statutory reparations.           | \$14,772,355                            |
| <b>Subtotal:</b>                                                         | <b>\$29,544,710</b>                     |
| <b>Count III: Refusal to Deal (2022-2023 Shipping Year Lost Profits)</b> | \$80,972,085                            |
| <b>Count VI: Retaliation</b><br>Doubles 2022 Shipping Year lost Profits  | \$80,972,085                            |
| <b>Subtotal:</b>                                                         | <b>\$161,944,170</b>                    |
| <b>Grand Total:</b>                                                      | <b>\$191,488,880</b>                    |

**A. Count I: Violation of 46 U.S.C. § 41102(c)**

As to Count I, DG is entitled to reparations from YM in the amount of \$14,772,355. (C309-312); *see also Kobel v. Hapag-Lloyd A.G.*, FMC Dkt. No. 10-06, 2014 WL 5316331, at \*14 (ALJ July 30, 2014) (Remand Initial Decision) (“[T]he proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.”), *aff’d*, 2015 WL 3465821 (FMC May 26, 2015).)

Appendices C and D of the McCown Report reflect actual shipments undertaken by DG during the term of the 2021 Service Contract on lanes that were supposed to be covered by the 2021 Service Contract, using NVOs or freight forwarders, as YM was failing to meet its service commitments under the 2021 Service Contract. (C311.)<sup>44</sup> Appendices C and D of the McCown Report apply the methodology approved by the FMC in *MCS Industries* to YM’s shortfalls on its 2021 Service Contract with DG. (C312-313; *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2024 WL 3514613, at \*14-20 (FMC July 16, 2024).)

As summarized in Appendix C, DG had to incur additional incremental expenses of \$14,772,355 in connection with YM’s shortfall during the 2021 Service Contract year. (C309.)

**B. Count II: Violation of 46 U.S.C. § 41104(a)(2)**

As to Count II, which provides an alternative basis for the same reparations DG claims under Count I, DG is entitled to reparations from YM in the amount of \$14,772,355. (C314.)

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<sup>44</sup> Appendices C and D of the McCown Report are based on, respectively, the spreadsheets entered into the record as Exhibit 75 with Bates stamp DGFMC-0004159 and Exhibit 69 with Bates stamp DGFMC-0084151. (C311.1-311.2.)

**C. Count III: Violation of 46 U.S.C. § 41104(a)(10)**

**1. YM's failure to fulfill its MQC service commitments to DG during the 2021 Shipping Year caused DG to incur losses.**

As to Count III, YM's unreasonable refusals to deal or negotiate with DG during the 2021 Shipping Year caused DG to incur the same losses alleged under Count I. (C315.)

**2. YM's failure to engage in reasonable negotiations with DG for the 2022 Service Contract following protected conduct by DG caused DG to incur losses, which were the result of YM's retaliatory conduct towards DG, and thus entitled to statutory doubling.**

As to Count III, YM's knowingly improper failure to engage in negotiations with DG for the 2022 Service Contract in a reasonable manner following protected conduct by DG, resulting in YM cutting DG's MQC by 905 FEUs in the 2022 Service Contract as compared to the 2021 Service Contract, caused DG to incur losses of \$80,972,085. (C316-317.) Moreover, because this injury was inflicted as part of YM's retaliatory conduct, such lost profits damages are entitled to statutory doubling pursuant to the former 46 U.S.C. Section 41104(a)(3). (C317.1.)

**D. Count IV: Violation of 46 U.S.C. § 41104(a)(5)**

As to Count IV, YM's unfair or unjustly discriminatory practice in the matter of rates or charges with respect to specific ports caused DG to incur the same losses alleged under Count I. (C318-320.)

**E. Count V: Violation of 46 U.S.C. § 41104(a)(9)**

As to Count V, YM's pattern of conduct targeted at the port pairs that were supposed to be covered by Complainant's 2021 Service Contract, rather than legitimate transportation factors, in violation of 46 U.S.C. § 41104(a)(9) caused DG to incur the same losses alleged under Count I. (C318-320.)

**F. Count VI: Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d))**

As to Count VI, DG is entitled to statutory doubling of reparations from YM in the amount of \$14,772,355 for DG's violations in Counts I through V. (C324.) Further as to Count VI, as described further below at Argument § VII.G, DG is entitled to statutory doubling of reparations of \$80,972,085 for YM's unreasonable refusal to deal as it relates to the 2022 Service Contract and 2022 Shipping Year. (C325.)

At the time of YM's violations under Counts I-VI of the Shipping Act, the Shipping Act's prohibition on retaliatory conduct was subject to double reparations under 46 U.S.C. Section 41305(c). *OJ Commerce LLC*, 2024 WL 4034610, at \*24-25 (citing 46 U.S.C. § 41305(c)). The FMC has the authority to award such double damages pursuant to its civil penalties authority under 46 C.F.R. Section 502.603(b). *Id.* at \*24-26. Under 46 C.F.R. Section 502.603(b), YM is liable for double damages because its conduct resulting in harm to DG was "knowing and willful" and YM acted with "reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence." *Id.* at \*24 (quoting *Rose Int'l Inc.*, 2001 WL 865708, at \*47.) Under this standard, the Presiding Officer must consider YM's "degree of culpability," "history of prior offenses," and "ability to pay." *Id.* (quoting 46 C.F.R. § 502.603(b)). The conduct described above demonstrates that YM acted with a high degree of culpability. *See BBY v. OOCL*, 2026 WL 1285696, at \*175 ("The evidence above is strong that the reaction to October 18, 2022, letter was to view it as threatening and that it motivated not just the reduction in cargo carried for the 2021-22 timeframe but also in negotiating a service contract for 2022-23. The violations were willfully and knowingly committed, in part due to an effort to unreasonably increase profits without equitably apportioning available space or meeting prior commitments, which supports the maximum additional penalties. The evidence is sufficient to warrant additional damages and to

justify the maximum increase”). There is no evidence supporting a contention that YM would be unable to pay a reward of double damages. (C326.)

Accordingly, DG is entitled to a doubling of the reparations due to it under Counts I-V as to shortfalls for the 2021 Shipping Year amounting to a total of \$14,772,355 in additional reparations. *Supra* Argument §§ I-III.1, IV-VI. Additionally, DG is entitled to a doubling of its lost profits reparations under Count III based on YM’s unreasonable refusal to deal, in the additional amount of \$80,972,085. *Supra* Argument §§ I, III.2, IV-VI; *see OJ Commerce, LLC*, 2024 WL 4034610, at \*24-26 (doubling the lost profits calculations based on respondent’s retaliatory decision to withhold MQC from complainant).

#### **G. Lost Profits**

YM’s knowingly improper failure to engage in good faith negotiations with DG for the 2022 Service Contract, following protected conduct by DG, resulted in YM cutting DG’s MQC by 905 FEUs in the 2022 Service Contract (1,321 FEUs) as compared to the 2021 Service Contract (2,226 FEUs). This reduction caused DG to incur losses of \$80,972,085 over the course of the 2022 Shipping Year. (C327-328.)

The Supreme Court has affirmed that lost profits derived from being “unjustly and illegally denied shipping space” is a loss that “is real and it is certainly compensable under the Shipping Act.” *Consolo v. FMC*, 383 U.S. 607, 626 (1966) (holding it was error on the part of the Court of Appeals to reverse the FMC’s award of reparations). For DG to show actual damages “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, 2022 WL 2209421, at \*3 (FMC June 10, 2022); *see also Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, FMC Dkt. No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992), *admin. final* (Dec. 31, 1992) (“the amount [of damages] can be based on something less than precision but

something based on a *reasonable approximation* supported by evidence and by reasonable inferences.”). As recently recognized by the Presiding Officer and unanimously affirmed by the FMC in *OJ Commerce*, lost profits can be determined by calculating the average profits per container of the shipper’s cargo actually carried in the relevant time period multiplied by the shortfall of containers that the carrier failed to carry. *See OJ Commerce, LLC*, 2024 WL 4034610, at \*21-23 (approving damages calculation on basis of detailed spreadsheet submitted by Complainant reflecting actual shipments); *accord BBY v. OOCL*, 2026 WL 1285696, at \*173-74.

DG’s calculations of average revenue and profit per container are established with reasonable certainty. *Tractors & Farm Equipment Ltd.*, 26 S.R.R. at 798-99. DG quantified its lost profits damages incurred as a result of YM’s conduct pursuant the approach endorsed by the FMC in *OJ Commerce*, using DG’s average profit per container during the 2022 Shipping Year. *See OJ Commerce, LLC*, 2024 WL 4034610, at \*21-23. To establish lost profits, DG gathered data from multiple sources—including DG’s purchase-order receipt records, item-master data, and the governing Yang Ming service contract—and prepared a spreadsheet quantifying the profitability, on a per-container basis, of the merchandise DG shipped during the relevant period (the “DG Lost Profits Analysis”). (C329-329.1.) The calculations in the DG Lost Profits Analysis are based on actual shipments and profits recorded from the period covered by the 2022 Service Contract. (C41, 329.2.) The DG Lost Profits Analysis was verified for accuracy by cross-referencing the quantity of goods shipped over time against financial reports on imports. (C329.3)

That analysis shows DG’s lost profits attributable to YM’s conduct as \$80,972,085. (C329.4-329.6.) DG has provided sufficient evidence to reasonably infer the measure of its lost profits associated with YM’s conduct. *See MAVL Capital*, 2022 WL 2209421, at \*3 (a showing of

actual damages “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.”).

**H. If the Presiding Officer Finds Yang Ming liable under Any of the Counts Herein But Requires Additional Proof of the Amount of Reparations, the Presiding Officer Should Issue an Order Pursuant to 46 C.F.R. §§ 502.251-502.252.**

The FMC’s Rules specifically empower it to grant complainants further opportunity to “make proof” once found entitled to an award of reparations. *See* 46 C.F.R. §§ 502.251-502.252 (providing that “[i]f complainant is found entitled to reparation, the parties *thereafter* will be given an opportunity to agree or make proof respecting the shipments and pecuniary amount of reparation . . .” and that “[w]hen the Commission finds that reparation is due, but that the amount cannot be ascertained upon the record before it” the complainant shall make a proffer to the FMC “for consideration in determining the amount of reparation due.”). Rules 251 and 252 specifically contemplate ordering such “a further proceeding to determine the measure of damages”. *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, FMC Dkt. No. 94-01, 1997 WL 35281266, at \*42 (FMC Oct. 10, 1997). When the evidentiary support for a calculation of reparations is deemed insufficient, the appropriate remedy is therefore not outright rejection of the claim but “remand for the submission of evidence that is sufficient to support” the claim. *MCS Indus., Inc. v. MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2024 WL 5714531, at \*1, \*15–16 (FMC Jan. 3, 2024) (“remand[ing] for the submission of evidence that is sufficient to support the reparations MCS seeks”, and citing Rules 251 and 252); *accord Color Brands, LLC v. AAF Logistics, Inc.*, FMC Dkt. No. 22-18, 2024 WL 246193, at \*2 (FMC Jan. 18, 2024) (affirming initial decision on default but remanding for further consideration of reparations). Notably, because no discovery has been permitted following DG’s filing of its Amended Complaint alleging claims for retaliation, *see* Dkt. 29, if the Presiding Officer finds that DG’s submission is not

sufficient, there would be good cause for remand to submit additional evidence to permit a proper calculation.

In the event that the Presiding Officer finds YM liable under any of the Counts herein but requires additional proof of the amount of reparations, the Presiding Officer should issue an order pursuant to 46 C.F.R. §§ 502.251–502.252 in order to afford DG the fair opportunity to “make proof respecting the shipments and pecuniary amount of reparation due” to it by YM.<sup>45</sup>

### CONCLUSION

For the foregoing reasons, DG respectfully requests that the Presiding Officer in this case:

1. Find in favor of DG on its claims under 46 U.S.C. §§ 41102(c), 41104(a)(2), 41104(a)(3) (now codified at 46 U.S.C. § 41102(d)), 41104(a)(5), 41104(a)(9), and 41104(a)(10), and 46 C.F.R. § 545.5;
2. Award DG reparations for its actual injuries as detailed herein pursuant to 46 U.S.C. § 41305, including doubling certain of the reparations under 46 U.S.C. §§ 41104(a)(3) (now codified at 46 U.S.C. § 41102(d)) and 41305(c), plus interest at commercial rates compounded from the date of injury pursuant to 46 U.S.C. § 41305(a), DG’s reasonable attorneys’ fees as “the prevailing party” pursuant to 46 U.S.C. Section 41305(e), and any other sum the FMC determines to be proper;
3. In the alternative, issue an order pursuant to 46 C.F.R. §§ 502.251-502.252 allowing DG the opportunity to “make proof” any entitlement found to an award of reparations or lost profits; and
4. Grant DG such further relief that the Presiding Officer deems just and proper.

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<sup>45</sup> YM itself invoked Rules 251 and 252 in this action. See Opp. Mem., FMC Dkt. 25-12, Doc. No. 26 at 3-4 (June 4, 2026) (“*Commission Rules have specific provisions for providing proof of reparations in certain situations after a determination on the merits.*”) (citing 46 C.F.R. §§ 502.251, 502.252); accord Complainant’s Mot., FMC Dkt. 25-12, Doc. No. 25 at 11 (June 4, 2026) (“*Need for Lost Profits Analysis*”).

Dated: September 23, 2026

Respectfully submitted,

HUTH REYNOLDS LLP

*/s/ J. Lee Hill*

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Karl C. Huth

(212) 731-9333

huth@huthreynolds.com

Matthew J. Reynolds

(646) 872-9353

reynolds@huthreynolds.com

J. Lee Hill

(405) 826-3226

lhill@huthreynolds.com

Heewan Noh

(202) 420-9628

hnoh@huthreynolds.com

41 Cannon Court

Huntington, NY 11743

*Counsel for Complainant Dollar General  
Logistics, LLC*

*Certificate of Service*

I hereby certify that I have this day served the foregoing document upon Respondent Yang Ming Marine Transport Corp. by emailing a copy of the document to its counsel of record listed below:

Edward A. Keane  
Garth S. Wolfson  
MAHONEY & KEANE, LLP  
40 Worth Street, Suite 602  
New York, New York 10013  
ekeane@mahoneykeane.com  
gwolfson@mahoneykeane.com

*Counsel for Respondent Yang Ming Marine Transport Corp.*

Dated: September 23, 2026

/s/ J. Lee Hill

J. Lee Hill

*Counsel for Complainant Dollar General  
Logistics, LLC*